

PROJECT SYNDICATE DIGEST

Section: ECONOMICS

Month: 2026-04

Generated: 7/8/2026 | Articles: 41

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1. The Real Private-Credit Risk Is Opacity, Not Leverage

Author: Amit Seru | **Date:** Apr 30, 2026 | **Original:** <https://www.project-syndicate.org/commentary/private-credit-is-growing-faster-than-regulators-can-adapt-by-amit-seru-2026-04>

STANFORD—Private credit has become a major source of financial anxiety, reflecting growing concerns about rising defaults, tighter liquidity, and the entry of retail investors into a market designed for institutions.

But the debate is focusing on the wrong issue. The question is not whether private credit is risky, but where that risk now lies, and whether it is visible. That distinction is particularly important for the US Federal Reserve, which could soon be led by President Donald Trump's nominee, Kevin Warsh.

In a recent paper, my co-authors and I examined the balance sheets of private credit funds. To this end, we used one of the most comprehensive datasets available, covering more than 1,200 funds and nearly 9,000 underlying loans, representing roughly two-thirds of the US market by assets.

The data tell a simple story: these funds are not banks. They are typically financed with long-term capital and substantially more equity—often 65–80%—than traditional lenders, and they do not rely on pay-on-demand deposits or large-scale maturity transformation. As a result, they are far less prone to the kind of runs that defined the 2008 financial crisis.

Our data also show where anxiety is actually concentrated. Large, long-horizon funds financed with locked-up capital account for most of the market, and this institutional core is relatively insulated from liquidity stress. By contrast, the redemptions, gating, and discounts are largely confined to smaller segments, including semi-liquid vehicles and business development companies. In other words, the pressure is building in the part of the market that closely resembles asset management, rather than banking.

This does not mean that the risks are trivial, but they take a different form than is often assumed. The central vulnerability in private credit is opacity, not traditional leverage. Because assets are not continuously priced, valuations depend on models and periodic transactions. When uncertainty increases—whether because of higher interest rates, weaker borrowers, or technological disruption—confidence in those valuations can shift quickly.

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Systemic stress, in turn, manifests not through sudden withdrawals but through changing beliefs about what assets are worth. Even without realized losses, valuation shifts can tighten financing conditions and quietly reduce the supply of credit.

Changing perceptions of asset values do not remain confined to private funds. A growing share of private credit is ultimately held, directly or indirectly, by insurers and affiliated vehicles. Over the past decade, large private-equity sponsors have acquired or become partners with insurers, using their balance sheets as stable funding sources for long-dated assets. In the United States, these institutions are primarily overseen by state regulators, often with limited visibility into system-wide exposures.

At the same time, banks remain connected to private-credit markets through credit lines, financing arrangements, and shared borrowers. The result is a system in which credit risk is spread across private funds, insurers, and banks, each operating under different regulatory frameworks. This is not a market failure, but a supervisory blind spot.

Warsh and others have argued that the Fed should be less involved in directing credit outcomes. While that instinct is understandable, a smaller footprint requires better visibility. With risks migrating beyond the banking system, a central bank focused primarily on banks might miss where financial stress is building.

That said, extending banking-style regulation to private credit is not the answer. These institutions serve an important function, and their higher equity buffers are a feature, not a flaw. Instead, the challenge facing policymakers is to ensure that as risk moves, oversight keeps pace. Doing so requires understanding how exposures link banks, private funds, and insurers, and stress-testing those links before markets do.

Even where direct exposures are limited, as in much of Europe, the effects may not remain local. A shock to the US private-credit system would likely reverberate globally through funding markets and investor portfolios.

None of this suggests that private credit will trigger a 2008-style financial crisis. But while the structure of the private-credit market makes it more resilient than deposit-funded banking, resilience in one dimension can create vulnerability in another. As the investor base broadens (particularly through vehicles that offer periodic liquidity), and exposures migrate onto insurance balance sheets, risks can accumulate in parts of the system not designed to absorb rapid valuation changes.

Ultimately, maintaining financial stability depends less on who originates the loan than on whether risks can be traced. If confirmed, Warsh will face difficult choices on inflation and growth. But he will also confront a quieter challenge: updating the Fed's tools for a system in which a growing share of credit is created outside the traditional banking sector.

While the Fed may not need a broader mandate, it will need a clearer view of emerging risks. The next episode of financial stress is unlikely to begin where policymakers are looking, and it will not wait for them to catch up.

2. An Economic Model for Securing Hormuz

Author: Massoud Karshenas | **Date:** Apr 30, 2026 | **Original:** <https://www.project-syndicate.org/commentary/economic-model-to-secure-strait-of-hormuz-iran-gulf-states-by-massoud-karshenas-et-al-2026-04>

LONDON/LOS ANGELES—The disruption of shipping flows through the Strait of Hormuz has highlighted the structural fragility of the global energy system. With roughly one-quarter of the world's seaborne oil passing through the narrow waterway, any closure has immediate and far-reaching economic consequences.

While much of the focus has been on reopening the Strait as quickly as possible, there is also a longer-term imperative to redesign the system in such a way that reduces the risk of future disruptions. In a new article, we outline a framework for doing just that.

Recent experience suggests that attempts to resolve such vulnerabilities through large-scale military intervention will be costly and ineffective. The United States spent several trillion dollars on largely unsuccessful efforts to impose a stable political settlement in comparable contexts, such as Iraq and Afghanistan; attempting the same approach in Iran would be a fool's errand, given the country's size and complexity.

This points to the need for solutions that rely less on coercion and more on aligning economic incentives with America and Iran's shared interest in keeping the Strait open. That may mean institutionalizing today's emerging arrangement, by which Iran, in coordination with the Gulf states, guarantees safe transit for a fee. Such a system would resemble the agreement under the Montreux Convention that governs passage through the Turkish-controlled Bosphorus and Dardanelles Straits.

An Iranian toll based on Turkey's current transit fee of \$5.83 per net ton would be about \$0.58 per oil barrel—small enough, relative to the value of the goods, that shipping firms would not balk at the expense or seek alternative routes. But, using the pre-war daily average of 20 million barrels transiting through the Strait, such a toll would generate \$4.3 billion annually, an amount large enough to create significant incentives for Iran to facilitate and ensure safe passage.

The economic case for a service-based toll system is strong. The costs are minimal compared to the huge economic losses associated with any disruption to shipping or the enormous expenditures required to attempt to secure the Strait through sustained military operations.

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Such a system could also benefit the US, whose existing security architecture in the Persian Gulf is expensive to maintain. Operational costs alone are estimated at \$10–30 billion per year, which comes

to \$1.4–4.2 per barrel of oil passing through the Strait. The full cost—including the infrastructure required to sustain deployments—is far higher, reaching \$60–120 billion annually, equivalent to \$8.4–16.8 per barrel.

These expenditures are a substantial hidden subsidy for the global economy, courtesy of the US. Oil-importing countries and Persian Gulf producers free-ride on secure transit routes but contribute little to their protection. In an era of shifting geopolitical priorities and mounting fiscal pressures, this imbalance has become harder to justify.

Instead of relying on an external guarantor, all the Gulf's littoral states should establish a regional framework, supported but not dominated by foreign powers, to coordinate maritime management, joint patrols, and intelligence sharing. The benefits of such a system, which can be financed by toll revenue, are clear: it would reduce costs, distribute responsibilities more evenly, and encourage cooperation among countries with a shared stake in stability. It would also reduce dependence on US military guarantees at a time when American strategic priorities are increasingly focused elsewhere.

Of course, skeptics will point to obvious obstacles like deep political mistrust, institutional weaknesses, and the absence of a comprehensive legal framework. These challenges are real, but they are not insurmountable. Comparable arrangements have emerged in similarly complex environments, often driven by necessity.

None of this implies that external powers should disengage entirely. Rather, their role should evolve from primary enforcer to facilitator and guarantor of a multilateral system. The goal is not to replace one form of dominance with another, but to build a more balanced and resilient security framework.

The Strait of Hormuz is a cornerstone of the global energy system. For many years, the US effectively managed its security; but this arrangement has become economically inefficient and politically asymmetrical in terms of responsibilities and burden-sharing. A cooperative regional security regime funded by transit charges offers a promising alternative that would benefit oil exporters, shippers, and consumers.

With coercion unlikely to succeed, persuasion becomes essential. Iran has both the capacity and the incentive to agree to a regional framework that ensures the safety of shipping in the Strait. Such a framework would align that incentive with America's interests (and those of the broader international community), while also reducing the region's external dependency and, perhaps most importantly, enhancing long-term energy stability for everyone else.

3. Bigger Defense Budgets Are Not Enough to Secure Europe

Author: Paolo Surico | **Date:** Apr 29, 2026 | **Original:** <https://www.project-syndicate.org/commentary/europe-must-mobilize-private-capital-to-support-rearmament-by-paolo-surico-2026-04>

LONDON—After years of underinvestment, Europe is finally beginning to increase defense spending. Few have put the stakes more bluntly than former NATO Secretary-General George Robertson, who warned that decades of “corrosive complacency” have left the United Kingdom “in peril.”

According to the European Defence Agency, the European Union’s spending on defense-related research and development totaled just €13 billion (\$15.2 billion) in 2024—about 0.07% of GDP—compared with \$149 billion, or roughly 0.5% of GDP, in the United States. Closing this gap will require not only more public R&D spending, but a fundamentally different approach to capital mobilization.

But money is not the main constraint. The real challenge is turning spending into technological capability. Modern defense is less about troop numbers than about control of advanced technologies such as semiconductors, AI, quantum computing, and clean energy. Military capability now hinges on how quickly these technologies can be developed and scaled. Countries that move fast will be both more secure and more prosperous, while those that fall behind will be forced to rely on external providers at a time when geopolitical fragmentation makes such dependence increasingly costly.

This challenge is growing more urgent as competition over strategically important technologies intensifies. The US combines deep capital markets with large-scale public support, while China directs state resources toward rapid deployment. Europe, struggling to translate its research excellence into industrial capacity, risks falling behind both.

The problem is not a lack of talent. Europe has no shortage of world-class universities or highly skilled workers, but too few innovative firms grow into large, globally competitive companies, and many are acquired or scale abroad.

Europe’s weakness is financial and institutional. While the continent has abundant savings, it lacks sufficient risk-bearing capital. This is no longer just a growth problem; it is a defense issue, as the ability to scale emerging technologies increasingly determines military capability.

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Europe’s pension systems are among the largest untapped sources of funding for scaling strategic industries. But while pension funds manage vast pools of long-term capital, especially in the defined-contribution schemes that now dominate retirement savings, they allocate only a small share to

innovative, high-growth firms (mostly outside Europe), favoring safer assets over riskier equity investments.

Trustees and asset managers often view equity investments as illiquid, uncertain, and difficult to benchmark. Performance is assessed over relatively short horizons, while liabilities extend over decades. That mismatch creates strong incentives to favor liquid, low-volatility assets, even when long-term returns would justify greater risk-taking. The result is a structural bias that makes it harder for innovative firms to access the capital they need to scale.

While policymakers increasingly recognize this problem, existing measures remain too limited. Initiatives like the UK's Defense and Security Accelerator have demonstrated the viability of public-private co-investment, but they have not meaningfully shifted institutional allocation decisions or built the confidence needed for broader participation.

A more effective approach would treat public spending as a catalyst rather than merely a funding source. If governments matched private investment in strategic sectors, they could create powerful incentives to develop new technologies. Downside risks would be shared, while project selection would remain in private hands.

Such an approach would have two key effects. First, it would reduce the risk faced by institutional investors, making it easier for them to direct capital to illiquid and uncertain assets. Second, it would crowd in additional investment, with each euro of public money mobilizing an equivalent amount of private capital. Public spending would thus be leveraged, not just deployed.

Over time, such arrangements could fundamentally change institutional behavior. As investors gain experience, develop expertise, and build track records in these asset classes, perceived risks would diminish. What begins as co-investment could then evolve into a more self-sustaining ecosystem, with private capital playing a larger role even without continuous public support.

Ultimately, Europe's strategic autonomy hinges on whether it can mobilize capital at scale and direct it toward domestic firms in critical sectors. Without that capacity, Europe will remain dependent on foreign providers. Nowadays, that dependence implies costly risks, from supply disruptions to reduced influence over standards and production.

Crucially, greater exposure to high-growth assets need not conflict with the interests of savers. It can improve diversification and long-term returns, provided that risks are well managed. The main obstacle is not a lack of willingness, but the way institutional incentives and portfolio rules are structured.

To achieve the necessary scale and predictability, co-investment mechanisms must be large enough to influence institutional portfolios and be embedded in durable, multiyear public R&D commitments, such as those implemented by France and Finland. Without that consistency, investors are unlikely to develop the necessary expertise and commit capital over the long term.

Moreover, a shift toward co-investment does not necessarily require a significant increase in public borrowing. Europe already devotes substantial resources to innovation policy, just not in ways that mobilize additional private investment effectively. Tax incentives like the UK's Patent Box, for example, are often costly, disproportionately benefit large incumbents, and frequently reward activity

that would have occurred anyway. Redirecting these resources toward co-investment and competitive R&D funding would support innovative firms, especially later-stage startups, for which capital constraints are most acute.

The broader lesson is clear: defense spending can no longer be separated from financial and innovation policies. Countries that align public investment with private capital will be best positioned to develop the technologies on which both security and prosperity depend. Those that do not will find that larger defense budgets alone are not enough to deliver economic prosperity or national security.

4. Asia's Economic Diplomacy for Tumultuous Times

Author: Ashok Lavasa | **Date:** Apr 28, 2026 | **Original:** <https://www.project-syndicate.org/commentary/asia-lessons-for-economic-diplomacy-at-a-time-of-competition-and-volatility-by-ashok-lavasa-and-rol-i-asthana-2026-04>.

LONDON—For decades, global development efforts reflected the assumption that international cooperation, however imperfect, was ultimately guided by a shared commitment to helping poorer countries prosper. That era is over. We have entered a multipolar age, defined by strategic rivalry, contested norms, and a level of volatility that makes long-term planning extraordinarily challenging.

Against this backdrop, economies cannot wait around hoping for systemic reform or benevolent assistance. They must build their own capabilities and negotiate their place in this new world.

While today's naked power politics represent a shift from the recent past, global governance has never been a charitable enterprise. States have always acted in their own interests, even when they frame their actions as a show of goodwill. Now that the fig leaf is gone, operating in this new landscape means taking a clear-eyed approach to international engagement, recognizing the risks and opportunities.

India's development trajectory is revealing in this regard. The country has long been skeptical of the idea that global cooperation is motivated by benevolence. While it has drawn on external resources—absorbing foreign ideas and technologies and building global partnerships—it has done so on its own terms, with a focus on building domestic capabilities. And it is not alone: China, Japan, South Korea, and Vietnam have sought to strike a similar balance.

These economies have succeeded not because their interests align neatly with those of their foreign partners, but because they have learned how to find common ground, navigate differences, and devise workable solutions. This is economic diplomacy at its most effective: a blend of bargaining, institution-building, and strategic learning. This middle-powers playbook is evolving as the global context evolves.

While Asian economies sought to make the most of global engagement, they have not allowed external actors to dictate their development script. Japan's industrial policy, South Korea's export-oriented transformation, China's hybrid model of state-led capitalism, India's accelerating reforms, and Vietnam's gradualist approach all emerged from domestic debates and political bargains. Local institutions capable of learning under pressure have been the key drivers of progress.

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India has been bringing this pragmatism to bear in its response to changing global economic and geopolitical conditions. It has worked with Southeast Asian countries to boost supply-chain resilience, negotiated energy partnerships with Middle Eastern countries and Russia, and expanded technology cooperation with the United States. At the same time, it has positioned itself as a bridge between advanced economies and the Global South—an interlocutor capable of reconciling diverging interests.

India's experience offers lessons not only for developing economies, but also for other middle powers, such as Canada and the United Kingdom. These countries are now grappling with the same dilemma: how to continue to engage globally without compromising their autonomy. Intensifying domestic pressures, from inequality to technological disruption, compound the challenge. The only way to meet it is by strengthening their own ability to negotiate, regulate, innovate, and learn.

This requires a fundamental shift in mindset, with economic diplomacy understood not only as a tool for securing access to global supply chains and foreign technologies, but also as a means of forging mutually beneficial arrangements based on joint problem-solving. Technical assistance should no longer be viewed as a one-way transfer of knowledge, with little regard for political realities. Instead, advisory models must be co-designed, embedding learning rather than perpetuating dependency.

Countries must also update their approach to engaging with firms. Partnerships through which public and private actors share risks, pool capabilities, and unlock new markets are the goal. But many governments struggle to achieve it, lacking the institutional depth to negotiate on equal terms.

Asia's experience sends a clear message. Waiting around for benign cooperation will get countries nowhere. But strategic learning, capacity building, hard-nosed negotiation, creative compromises, and pragmatic competition—all anchored in a recognition of shared interests—can support progress even under difficult circumstances.

The task for policymakers today is not to choose between autonomy and cooperation, but to build the capacity for both. The countries that succeed will be those that invest in their own institutions, learn from others without imitating them, and engage internationally with confidence. Asia's development story shows that this is not only possible; it is the surest path to resilience in an uncertain world.

5. South Korea's Precarious Balancing Act

Author: Anne O. Krueger | **Date:** Apr 28, 2026 | **Original:** <https://www.project-syndicate.org/commentary/can-south-korea-weather-trump-storm-by-anne-o-krueger-2026-04>

SEOUL—In the early 1950s, after the devastation of the Korean War, South Korea was among the world's poorest countries. Today, it is an advanced economy, with a per capita income that exceeds that of Japan. Much of South Korea's transformation took place under the protection provided by the US military, underscoring the threat that President Donald Trump's policies now pose to its long-term prosperity and security.

Over the past decade, the global economy has been rocked by five major shocks: Trump's first-term trade war with China and his second-term tariffs, the COVID-19 pandemic, Russia's invasion of Ukraine, and the war in Iran. Together, these interconnected crises have fueled inflation, disrupted energy supplies, driven up shipping costs, constrained fiscal space, and heightened uncertainty about the future of global trade and the international order.

Few countries have felt these shocks as acutely as South Korea. Its economy is deeply integrated into the global trading system, with exports accounting for 44% of the country's GDP in 2024. It is also highly dependent on energy imports: oil and natural gas make up about 82% of its energy consumption, and roughly 92% of that is sourced from the Middle East. As a result, it has been hit hard by Trump's tariffs and the energy-market disruptions brought about by his war with Iran.

South Korea's reliance on manufactured exports, especially high-tech goods, adds to its vulnerability. In 2025, it was the world's eighth-largest exporter. China and the United States, its two largest trading partners, account for nearly 40% of its exports, leaving it particularly exposed to their escalating great-power rivalry.

Moreover, unlike many advanced economies, South Korea has never been able to scale back its defense spending, given the persistent threat posed by its northern neighbor. With Trump calling into question the long-standing security alliance with the US, South Korea must perform a delicate balancing act: maintaining its partnership with America, improving relations with China, and expanding its own military capabilities.

In 2025, President Lee Jae-myung signaled a strategic shift, announcing that South Korea would seek to become the world's fourth-largest arms manufacturer by 2030. Thanks to its manufacturing prowess, the country has already made headway. But its export sector remains caught in Trump's tariff vise, despite the recent US Supreme Court ruling limiting his ability to impose discriminatory tariffs. Seeking legal means to reinstate them, the administration has launched Section 301 investigations into 16 trading partners, including South Korea, over alleged unfair trading practices.

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Compounding the problem, South Korea's trade deal with the US carries high fiscal costs. In January, the Trump administration agreed to reduce tariffs on South Korean goods to 15% after the country committed to invest \$350 billion in the US—including \$150 billion in the shipbuilding sector—through a state-run investment corporation. This is an enormous sum for an economy of South Korea's size. Last year, total investment in the country was about \$567 billion (based on calculations using World Bank data on investment as a share of output and nominal GDP).

Despite these external headwinds, South Korea's macroeconomic policies have remained generally sound. Inflation hovers around 2%, unemployment is relatively low, and public debt stands at roughly 48% of GDP.

Although political stability was briefly shaken in late 2024, when then-President Yoon Suk-yeol attempted to declare martial law, order was quickly restored, and early elections were held. Earlier this year, Yoon was convicted of insurrection and sentenced to life in prison. Because macroeconomic fundamentals were solid, providing room for supportive fiscal and monetary policies, the shock had only a limited impact. Growth in 2026 is projected to be modest, at around 2%, though demographic decline means that per capita growth is somewhat stronger than the headline figure suggests.

Meanwhile, South Korea's stock market has boomed, as renewed investor confidence has reduced the "Korea discount" that has long served as a drag on performance. But the country's dependence on imported energy remains a critical risk, with near-term growth prospects largely hinging on how quickly the Strait of Hormuz reopens and oil and natural-gas markets return to normal.

To address these risks, the government has proposed new measures aimed at supporting and accelerating the development of high-tech industries, particularly those in which South Korea already has a competitive edge, such as AI and semiconductors. This marks a return to industrial policy on a scale not seen since the military dictatorship of Park Chung-hee. Whether such policies will prove effective in today's global economy remains to be seen.

Encouragingly, in the face of a rising China and an increasingly unpredictable US under Trump, South Korean policymakers have responded with prudent macroeconomic and security measures. But when a country's closest ally becomes a major source of risk, stability can no longer be taken for granted.

6. China Needs Higher Minimum Wages

Author: Xin Meng | **Date:** Apr 27, 2026 | **Original:** <https://www.project-syndicate.org/commentary/higher-minimum-wage-and-hukou-reform-would-increase-consumption-and-fertility-in-china-by-xin-meng-2026-04>.

CANBERRA—China’s government wants to strengthen domestic consumption, encourage family formation, increase fertility, and achieve more balanced growth. But a major barrier is impeding progress on all these fronts: Chinese non-agricultural workers currently work some 2,500 hours per year, and hundreds of millions of blue-collar workers, largely rural-to-urban migrants, work nearly 3,000. That is nearly 60 hours per week—a schedule that leaves little time for consumption, relationships, or family-building.

To put this in perspective, workers in OECD countries average about 1,700 hours per year—little more than half the workload of China’s 170 million rural-to-urban migrants. Accounting for 36% of urban employment, these workers are the backbone of China’s factories, construction sites, delivery networks, and service industries. They work about nine hours more per week than the urban average for China.

This largely reflects prevailing Chinese wage structures. For many blue-collar migrants, base pay is effectively tied to the local minimum wage. Earnings rise meaningfully only when workers exceed standard hours and qualify for statutory overtime premia: 150% of the regular wage on weekdays, 200% on weekends, and 300% on statutory holidays.

Migrants whose pay is at or near the minimum wage work 13–16 more overtime hours per week than comparable workers earning above the minimum, as only very long hours make their urban employment financially worthwhile. Since many migrants are unable to settle in the city officially, owing to China’s hukou household-registration system, they must focus on maximizing earnings during what remains, in practice, a temporary stay.

Analysis of individual wage-and-hours records shows a distinct bunching of workers just above the statutory 40- and 48-hour thresholds. This pattern is consistent with the exploitation of the overtime premium structure not only by workers, but also by employers, particularly in manufacturing, which benefit from staffing arrangements that rely on longer individual shifts rather than hiring more workers. While the estimates above draw on survey data through 2018, the underlying incentive structure—statutory premiums anchored to the minimum wage under the 2008 Labor Contract Law—has not changed.

Chinese policymakers long viewed extreme working schedules as a byproduct of industrial catch-up. But as China’s development priorities evolve, excessive workloads are becoming a major constraint. If Chinese workers are to become middle-class consumers and build larger families, they cannot spend most of their waking hours chasing overtime pay, only to return exhausted to dormitories. They need opportunities to spend their earnings, to form households, and to participate in urban life.

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Based on data from 2008–16, I estimate that cutting about ten hours from urban migrant workers' weekly schedules—from the low 60s to the low 50s—would raise their per-capita consumption by roughly 1.1 to 1.6 percentage points. That may not sound like much, but if you multiply it by 170 million migrants, it becomes significant.

This reduction in working hours could also raise marriage rates of unmarried men aged 20–40 by around two percentage points. The relationship between labor-market and demographic outcomes is critical. Public debate often treats falling marriage and fertility rates as cultural or housing issues. But time is a big part of the story. Workers who have little of it to sustain relationships or build stable households are less likely to form families.

China's current favored policy tool—one-off consumption subsidies—work only if workers have the time and security to take advantage of them. To reduce excessive work without cutting earnings, raising minimum wages may be a more effective strategy. In fact, evidence shows that higher minimum wages lead to reduced hours among those working more than 60 hours per week, without negative employment effects.

Scale matters. Since a small wage increase leads to a small reduction in hours, policymakers seeking a meaningful change in working hours should increase wages faster and by larger margins. To ensure that this does not lead to a push toward automation, which could eliminate jobs among migrants, China should also provide transitional support to firms to ease the adjustment.

But the minimum-wage lever can do only so much on its own. Long working hours are a rational response to insecurity: as long as the hukou system denies migrants access to city schools, housing subsidies, and public services, they will not regard themselves as permanent urban residents. A visitor maximizes current earnings; a permanent resident builds a life. Relaxing hukou restrictions in the mid-size and large cities where most manufacturing and service employment is concentrated is essential.

A worker with a free evening can go on a date, walk in a park, eat at a restaurant, or simply rest. A worker with a stable income and time to spare can plan for the future. These are not luxuries; they are the preconditions for building the middle class that China's next growth model requires. Raising minimum wages faster and opening city residence to migrants could make this possible. Income transfers and consumption vouchers cannot.

7. The Hidden Chokepoints Threatening the Global Economy

Author: Diane Coyle | **Date:** Apr 27, 2026 | **Original:** <https://www.project-syndicate.org/commentary/many-chokepoints-threaten-global-supply-chains-by-diane-coyle-2026-04>

CAMBRIDGE—The closure of the Strait of Hormuz is just the latest in a series of major supply shocks the global economy has experienced since 2020. Yet each time, the resulting shortages appear to catch policymakers off guard. From personal protective equipment at the start of the COVID-19 pandemic to fertilizer and sulfur today, the key chokepoints and complex supply-chain interdependencies that cause these shortages remain poorly understood, often becoming visible only once crises are already underway.

The downstream consequences of the current crisis have yet to materialize and may take months to be fully felt. No sulfur means no sulfuric acid, which in turn threatens copper production in Chile. Meanwhile, surging fertilizer prices are likely to hit food supplies and drive up consumer prices later this year, disproportionately affecting import-dependent economies.

This raises a critical question: What other bottlenecks and shortages will emerge in the years ahead? One might have expected governments to improve their monitoring of supply-chain vulnerabilities, yet despite repeated disruptions, progress in mapping these networks and building resilience has been limited. As a result, the global economy is bound to be caught unprepared once again.

To be sure, there has been some progress since the pandemic. The OECD's value-added trade database, for example, provides useful insights into flows of components, goods, and services, shedding light on the hidden structure of global production networks. But it remains a supplement to traditional trade statistics, offering aggregated data that extends only to 2022, and therefore, captures only a small part of a rapidly evolving landscape. Real-time visibility thus remains out of reach for most governments.

Other initiatives, such as the Observatory of Economic Complexity, offer more granular data, including on individual firms. Some vulnerabilities are now well known. Most notably, Taiwan dominates advanced semiconductor production through TSMC, which accounts for more than 90% of the global supply.

Even so, governments must do far more to identify their economies' weak points and confront those vulnerabilities head-on. Many essential inputs are produced in highly concentrated markets, often in just a handful of countries. And given that even simple or cheap components can be indispensable further up the supply chain, a seemingly minor disruption can quickly cascade into a major supply crisis that reverberates through the global economy.

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Consider, for example, the bicycle industry: most bikes rely on components made by Japanese manufacturer Shimano, which has struggled in recent years to keep up with demand. Similarly, automotive supply chains are dominated by specialist suppliers, with one or two firms often accounting for most of the sector's output. While such dependencies are well known within these industries, policymakers rarely follow the trade press, where problems tend to surface first.

With roughly two-thirds of global trade in manufactured goods consisting of intermediate components rather than finished products, this is far from a niche concern. Globalization has created vast and intricate supply chains that turbocharged economic growth while deepening interdependence. As Adam Smith observed in *The Wealth of Nations* 250 years ago, specialization drives prosperity. But it also depends on the size of the market: there is little point in producing 1,000 pins a day instead of a hundred if demand for pins does not grow.

While globalization has expanded markets beyond national borders, many specialized components have no alternative producers. Their market is ultimately capped by global demand for the final product, leaving little room for diversification on the supply side and making sudden shocks harder to absorb or offset.

The stakes are enormous. A delay in receiving a new bicycle is inconvenient, but disruptions to food and water systems or medical supplies would have far more serious consequences.

Encouragingly, some policymakers have begun to identify strategically important sectors. Heightened geopolitical uncertainty has spurred investment in domestic manufacturing capacity, most notably in semiconductor production in the United States. But the persistence of supply-chain chokepoints underscores the need to rethink industrial policy. In particular, policymakers should think more broadly, including seeking to reinforce existing strengths, rather than focusing narrowly on emerging technologies such as clean energy and AI.

In most countries, however, supply-chain vulnerabilities remain largely overlooked in policy debates. That could be a costly mistake. With further disruption all but certain, governments must be able to move fast to secure vital inputs and contain emerging risks. Economic resilience is now inseparable from national security. Countries that fail to build a flexible, robust production base will learn that the hard way.

8. The Deeper Forces Shaping Global Trade

Author: Tiago Devesa | **Date:** Apr 24, 2026 | **Original:** <https://www.project-syndicate.org/commentary/global-trade-deeper-forces-beyond-tariffs-by-tiago-devesa-et-al-2026-04>

LISBON—With conflict disrupting shipping in the Middle East and the future of US tariffs still uncertain, global trade is firmly in the spotlight. But while it certainly matters how these political developments unfold, one must not lose sight of the deeper forces at work in the global economy.

The past year was among the most tumultuous for global trade in living memory, with US tariff rates rising to their highest level in nearly a century and trade between the United States and China—one of the world's largest trading corridors—falling by roughly 30%. Yet global trade did not decline. On the contrary, it continued to grow, rerouting in ways consistent with patterns we began measuring three years ago in McKinsey Global Institute research on geopolitically driven shifts in trade.

We find that the world is not “degloblizing” so much as reconfiguring—like water finding new channels. As geopolitical tensions escalate and economic security concerns grow, companies redirect investment and redesign supply chains.

In our latest analysis of 2025 trade flows, what stands out most is how resilient US demand for foreign goods remained. Still, while Americans kept buying from abroad, what they purchased was different. The US imported more chips and data-center equipment, but fewer autos and less energy. Sourcing shifted from mainland China to Vietnam, Taiwan, and other Asian economies.

It would be natural to assume that tariffs were the driving force behind these and other shifts. But that explanation is incomplete, because the race to develop AI has also emerged as a powerful new factor, accounting for about one-third of the growth in global trade in 2025. This development has received far less attention than AI's implications for economic growth, financial markets, or jobs, perhaps because much AI-linked commerce is concentrated among geopolitically aligned economies.

Another underappreciated factor is the extent to which China's economy has changed. It is still the world's export engine, but it has leaned further into its role as the “factory to the factories”: a supplier of the machinery and components that power manufacturing elsewhere, particularly in emerging economies. Shipments of Chinese-made industrial inputs rose by more than \$175 billion in 2025, led by exports of intermediate goods such as chips or smartphone parts, which grew by 9%—twice as fast as China's overall exports.

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Meanwhile, as access to the US market shrank for some industries, firms sought new markets for consumer goods. To keep volumes growing, exporters of consumer products cut prices by an average of 8%, and these changes cascaded unevenly through regional economies.

For example, the ASEAN region expanded its role as a critical manufacturing hub, creating new connections in the shifting geopolitical landscape. All told, its trade with every major region increased, with exports growing by 14%—more than twice the pace of global trade. At the same time, India captured a large share of US smartphone demand once met by China; and Brazil expanded its commodity exports as China shifted purchases away from the US.

Europe, by contrast, struggled to adjust. The European Union faced intensifying competition from Chinese imports, while higher US tariffs constrained key exports. Excluding a rush of gold and pharmaceutical sales ahead of anticipated tariffs, Europe's trade balance with the US and China deteriorated by roughly \$80 billion. Stronger trade with other markets offset only around half that decline. The strain was especially visible in autos. For the first time ever, Germany, Europe's auto powerhouse, imported more cars from China than it exported there.

It is understandable that today's headlines feel like proof that geopolitics now sets the rules of trade. But, again, the story is incomplete. Geopolitics is indeed reshaping the trading map, but longer-term shifts in technology and economic development are determining what the world builds and buys—as the surge in trade linked to the AI boom attests. Amid tariff hikes, legal uncertainty, and growing trade restrictions, firms raced to secure chips and servers, along with cooling systems and the other equipment required to build and power data centers.

Fundamentally, global trade is being reshaped by long-term forces, from technology to shifting production networks and emerging-market growth. Making sense of what comes next requires a broad view that accounts for how these forces interact under different scenarios, rather than focusing on any single disruption.

Of course, geopolitical shocks will remain a feature of the system. The ability to adjust as conditions evolve will matter just as much as long-term positioning in a world where trade is still expanding, but along more contested lines.

9. Rules for the Rest of Us

Author: Claudia Sanhueza | **Date:** Apr 24, 2026 | **Original:** <https://www.project-syndicate.org/commentary/global-south-can-build-trading-system-that-applies-rules-to-all-by-claudia-sanhueza-1-2026-04>

SANTIAGO—For decades, global power emanated from Europe and the United States. That was certainly my view when I first set foot in the Northern Hemisphere as a graduate student at the University of Cambridge. But managing Chile’s international economic relations under former President Gabriel Boric revealed just how much power the Global South can wield, if it chooses to do so.

This is apparent not only in the data but also at the negotiating table. In 2025, I traveled with Boric, other cabinet members, and Chilean business leaders, academics, cultural figures, and entrepreneurs to India to negotiate a Comprehensive Economic Partnership Agreement. Both sides were following development economists’ long-standing policy prescriptions: diversify trade partners, open new markets, and deepen South-South integration.

But during the trip, US President Donald Trump announced his “reciprocal” tariffs against most of America’s trading partners, ripping up global trade rules. For the Global South, this was a slap in the face. We never expected development to be free of struggle and contradictions. But the direction was clear: greater global economic integration would enhance growth. And the rules and institutions were shared—until the country that designed them decided to exempt itself.

Perhaps most strikingly, the rules-based multilateral system worked for the developing world. In 1952, the United States, with just 6% of the world’s population, produced around 40% of global GDP. By contrast, the US now produces 15% of global GDP (in purchasing power terms), while China has risen from near zero to 20%.

The redistribution extends beyond the US-China axis. In the 1970s, Germany’s economy was twice the size of India’s; today, India’s is nearly three times larger than Germany’s. The City University of New York economist Branko Milanović has called this “the greatest reshuffle of individual incomes since the Industrial Revolution.”

As Milanović and Christoph Lakner of the World Bank showed in a landmark study, the largest relative income gains between 1988 and 2008 went to hundreds of millions of people around the global median, mostly in Asian countries, lifting them into the middle class. The same process led to stagnant incomes for working- and middle-class people in rich countries. The system reduced global poverty and shifted the international power balance.

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Integration into the global economy was a necessary but insufficient condition for development. The countries that gained the most from globalization had a plan. China is the most obvious example, but South Korea, Vietnam, Indonesia, and others followed a similar path: they devised long-term development strategies; invested in education, industrial policy, and technology; and integrated selectively into global markets.

The countries that lacked a plan, particularly in the developed world, opened their economies without building domestic capacity to redistribute the gains. That failure to manage the risks of globalization has become everyone's problem, because it has generated the political discontent now engulfing the West and fracturing the international order.

Some of the greatest challenges the world faces today, including climate change and managing AI, can be addressed only through common rules, shared institutions, and cross-border collaboration. We know that technological change is one of the main drivers of rising inequality within countries, and that the world's poorest and most vulnerable are bearing the brunt of the climate crisis. Both problems demand dialogue, and neither can be solved by the strongest acting alone.

Many of the critical resources required to fight climate change and power the technological transition, from copper and lithium to rare earths and rainforests, are concentrated in Latin America, providing the region with new leverage. But leverage without coordination creates risk. And right now, Latin America lacks a regional strategy.

Devising one is not a utopian aspiration. The Association of Southeast Asian Nations was built on the recognition that smaller economies need collective positions, shared frameworks, and coordinated strategies to negotiate with major powers from a position of strength. As the rules that once constrained these powers weaken, regional solidarity has become only more important.

Forging closer ties between Latin American governments, private sectors, and civil societies is no longer an option. It is an imperative that calls for strong national agendas.

The last wave of globalization illustrated the importance of policies that distribute gains equitably and strengthen education systems, as well as fiscal frameworks that convert resource rents into public investment. State institutions must be strong enough to resist capture. Long-term industrial and technology policies must be put in place. Such planning is the difference between development and dependency.

When this period of Trumpian disorder eventually gives way to reconstruction, the Global South must come to the table with proposals, not just complaints. The order that is now fracturing was built largely without us, but that need not be true of the next one. Countries that cannot impose their preferences by force must continue to do the unglamorous work of coordination and collaboration—much like we did in India last year. Only by coming together now can we create a global system where the rules apply to all.

10. Europe's Economic Emergency

Author: Carl Bildt | **Date:** Apr 23, 2026 | **Original:** <https://www.project-syndicate.org/commentary/europe-economic-emergency-growth-needed-to-meet-other-challenges-by-carl-bildt-2026-04>

STOCKHOLM—Judging by what one sees coming out of all the European Union's various meetings—at the European Council, the European Commission's offices, and elsewhere—the bloc's limited bandwidth is obvious. There are simply too many challenges and too many tasks. The world is a messy place, and so too is the Brussels political scene.

The first challenge, then, is to agree on priorities. This should not be too difficult, because some are patently obvious. Continuing to confront Russia's territorial aggression is a clear strategic imperative, with financial support to Ukraine helping to pave the way to peace and a new round of EU enlargement. This month's election in Hungary, which ousted Prime Minister Viktor Orbán after 16 years, has removed an embarrassing roadblock that was increasingly jeopardizing the EU's security.

But achieving stronger economic growth across Europe is no less urgent, given that a strong industrial and technological base is a prerequisite for security and strategic autonomy in an increasingly dangerous world. Major reports on EU competitiveness and gaps in the single market, by former European Central Bank President Mario Draghi and former Italian Prime Minister Enrico Letta, respectively, have highlighted major challenges and identified the necessary remedies.

Yet beyond generating a wave of headlines when they were released, Draghi and Letta's findings have barely registered on the EU's policy agenda. Almost none of their proposals have been implemented, and this lack of follow-through remains evident in the macroeconomic data. Apparently, there are just too many other things happening for EU policymakers to give the economy's competitiveness and productivity challenges the attention they require.

But that is hardly a reassuring excuse. Europe's leaders must abandon their illusions and recognize what is at stake. In the face of subdued growth, persistent deficits, and substantial government debt burdens, there is no way for EU member states to increase defense spending while also maintaining their welfare systems in the years ahead. Making matters worse, Europe's working-age population is expected to decline by around 12% in the next decade or so, placing an even greater burden on public finances and further limiting available resources.

Those needs are great, because defense spending for most EU member states remains stuck at around 2% of GDP. Yet if the past 15 months have shown anything, it is that Europe can no longer afford to delay major investments in its own security and its defense-industrial base. It was only a few months ago that US President Donald Trump threatened to seize Greenland, a sovereign territory of Denmark, a NATO member state. And more recently, Trump's frustration with Europe's refusal to join his war against Iran has cast serious doubts on whether the United States would come to Europe's defense.

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Europeans must face reality. We are seeking to secure our physical safety, establish deterrence against potential aggressors (starting with Russia), decarbonize our economy, and maintain consistent support for one of the oldest populations on Earth—all while confronting weak growth, high debt, and demographic decline. Only through substantial reforms can our goals be achieved.

Fortunately, at the European Council's March meeting, European heads of state and government committed themselves to completing the single market by the end of 2027. If they are serious about implementing the reforms that this would require, Europe's fiscal and strategic situation could improve substantially.

Trade within the single market, as it currently exists, supports close to 60 million European jobs and has already unlocked economic benefits equal to 8–9% of EU GDP. By completing the single market—namely, by creating a single market for digital connectivity, energy, and investment capital—the EU could add another sorely needed 1–2% to GDP over the next decade. In fact, that is one of the lower estimates. According to the Draghi report, “remaining trade frictions in the EU mean that Europe is leaving around 10% of potential GDP on the table.”

But for this to be possible, the EU must make growth and economic dynamism a top priority. After all, success on this front is the only way to avoid failure on numerous others.

Europe is not doomed. We have the talent, the universities, and the rule of law that businesses need in order to thrive. Our common currency is strong, and our quality of life is superior to anywhere else in the world. But rather than allowing these strengths to lull us into complacency, we must recognize that they are all at risk. We must start meeting our single greatest challenge with the urgency it demands.

11. Policymakers vs. the Iran War Shock

Author: Gene Frieda | **Date:** Apr 23, 2026 | **Original:** <https://www.project-syndicate.org/commentary/markets-central-banks-fiscal-authorities-risk-in-moving-at-different-speeds-by-gene-frieda-2026-04>.

LONDON—There is a moment in every supply shock when the market’s fear of inflation gives way to anxiety about economic growth. This shift is one of the most important—and dangerous—signals for policymakers because markets, central banks, and governments move at different speeds, and sometimes in different directions.

The market always rotates first. Since equity and credit markets are forward-looking, they price in the growth implications of a shock before it shows up in the data. Early in the shock, as markets price in higher inflation and margin compression (lower corporate profitability), equity prices fall as oil prices shoot up. Later, equity prices resume their decline even as oil prices decline. This typically means that the market is moving from pricing higher inflation to pricing recession.

The flattening or inversion of the yield curve then confirms the rotation: long rates fall as the market prices a recession, but short rates hold steady because the central bank has not yet cut its policy rate.

Central banks tend to rotate second—and usually reluctantly. They are institutionally biased toward guarding against inflation, especially after the 2021–23 episode. No central banker wants to commit the “Arthur Burns error” (named for the US Federal Reserve chair during the first 1970s oil shock) of declaring a supply shock transitory and allowing inflation expectations to de-anchor. But this vigilance creates its own kind of risk. The central bank continues to focus on cost-push inflation (because fertilizer and food price pressures take a while to work their way through the system), but the market has already moved on to pricing below-potential growth.

The result is a period when the central bank appears hawkish relative to the market, which can tighten financial conditions further through higher short-end yields and a stronger currency, deepening the recession. It is the 1974 pattern in reverse: whereas Burns eased too early and allowed expectations to de-anchor, the current risk is that central banks hold rates where they are too long and allow the demand destruction to overshoot.

Then there are fiscal authorities, who tend to rotate last. Politically, fiscal support during a shock is easy to deploy but difficult to withdraw. Because fuel subsidies, energy-bill caps, and food-price interventions create constituencies that resist their removal, the government’s fear of inflation is subordinated to its fear of visible household pain. Fiscal support, therefore, outlives the economic rationale for it.

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To be sure, this outcome is not irrational, because the food- and utility-price effects working their way through the system will still hit households after the crude oil price has fallen. But it does create a fiscal overhang that complicates the central bank's own policy path. If fiscal support persists, the market may interpret the combination as fiscal dominance (when the central bank accommodates higher government spending).

The divergence between the financial, monetary, and fiscal clocks is where policy errors are born. The most dangerous configuration is when the market has rotated to fearing lower growth, the central bank is still fighting inflation, and the government is still running emergency fiscal support. If the market sees policy tightening into a recession combined with a fiscal expansion that cannot be financed, it may conclude that the policy mix is incoherent.

There are risks of this now. We have recently witnessed a negative feedback loop between gilts (government bonds) and sterling in the United Kingdom; widening periphery spreads (the difference between yields on sovereign debt) in the eurozone; and a further weakening of the yen in Japan. The United States has been the least exposed because the market, the Fed, and fiscal authorities tend to rotate in closer synchronization. Moreover, a K-shaped demand-destruction channel in the US provides a natural coordination mechanism: When lower-income households' spending collapses, it shows up in real-time spending data that markets, central banks, and fiscal authorities can see simultaneously.

The signals to watch now are the correlation between oil and equity prices and the slope of the yield curve. When crude prices and equities fall together, and the yield curve flattens or inverts, that means the market has rotated to fearing lower growth. At that point, the central bank's priority must shift from protecting the inflation anchor to preventing demand destruction from overshooting; and fiscal authorities should pivot from addressing costs to supporting demand. In other words, the nature of the transfer should change from "absorbing the energy tax" to "preventing a consumption collapse," and central banks should at least prepare for easing.

Getting this rotation right—matching the policy response to the market's evolving fear—is the hardest judgment call to make. During the 1970s oil shocks, central banks got it wrong in both directions: they were too easy in 1974, and too tight in 1981. What is needed now is not a formula but a framework, one that names the signposts (the crude-equity correlation flip, the yield-curve inversion, and the collapse in real-time spending data) explicitly enough that policymakers can make the necessary turns in time. That is the only way to avoid excessive demand destruction and an unnecessary debate about the inflation anchor when a recession has already been priced in.

12. Why Slums Persist

Author: Luciene Pereira | **Date:** Apr 23, 2026 | **Original:** <https://www.project-syndicate.org/commentary/slums-can-be-eliminated-only-through-housing-and-education-reform-by-luciene-pereira-2026-04>.

SÃO PAULO—The standard policy response to slums—relocate people, bulldoze the settlement, and build public housing elsewhere—is older than the slums themselves. It has never worked.

The logic seems straightforward. Slums are viewed as unsanitary, unsafe, and visually jarring. If you want to build a modern, orderly city, you should remove them. But people do not live in slums by choice. They do so because there are no affordable alternatives near their jobs and essential services. Destroying their homes without addressing the conditions that drove them there merely shifts the problem to a different—often worse—place.

Experience bears this out. In 1968–75, Brazil’s military government launched an aggressive slum-demolition campaign in Rio de Janeiro, forcing nearly 50,000 families into housing projects on the city’s periphery. The residents of Catacumba favela, which housed nearly 15,000 people on prime real estate in Lagoa before its destruction in 1970, experienced a decline in household income, higher commuting costs, and reduced access to jobs following their relocation. Meanwhile, the overall favela population continued to grow.

A similar pattern has been documented in Addis Ababa, Lagos, and Mumbai, with slums eliminated in one place merely reappearing elsewhere, often nearby. Even when eradication was abandoned as an official policy, as in Brazil, new informal settlements kept emerging.

In new research, I and my co-authors, Pedro Cavalcanti and Alexander Monge-Naranjo, examine the emergence and persistence of slums in Brazil using detailed data on labor markets, housing, and education. We find that slums are not simple poverty traps; under the right conditions, they can also be stepping stones.

For families with very low levels of education, slums can provide an entry point into urban economic life. Compared to rural areas, they offer better access to jobs and schools. But the quality of those schools remains poor, so as households accumulate education, the slum becomes a constraint. Put simply, slums can help households get onto the first rungs of the economic ladder but prevent them from climbing higher.

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While some households manage to improve their economic circumstances enough to leave the slums, many—often those with intermediate levels of education—do not. And there are always more low-

educated rural households moving in, often motivated by the desire to improve their children's educational prospects. In fact, our research shows that schooling plays a key role in slum formation: households with low years of schooling want their children to have better lives, but cannot afford to live in cities.

These findings help to explain why slums persist despite the economic opportunities they provide. They are not static communities. Slums are dynamic systems that are continuously renewed. Instead of attempting to eliminate slums through demolition and forced relocation—a recipe for failure—policymakers should address the deeper mismatches between job proximity, housing affordability, and access to quality education.

To this end, improving schools within slums is essential, though it might attract new migrants, causing slums to grow. Countries at earlier stages of development—when most people live in rural areas—should thus place a high priority on improving rural schools, so that migration to cities reflects opportunity, rather than desperation. Better-prepared migrants are more likely to enter formal housing markets rather than informal settlements.

As urbanization progresses, the emphasis must shift to integrating slum residents into the formal economy, especially by getting their children into higher-quality schools. Such policies must be sustained across generations to enable households to build up enough human capital to sustain upward mobility and break the cycle of informality.

But education is just the first step. If formal urban housing remains prohibitively expensive, even upwardly mobile families will struggle to leave slums behind. Because the market does not supply affordable housing where it is needed, and long daily commutes are unrealistic, governments must intervene with a coherent strategy that accounts for both education and housing.

Slums persist not because they are desirable, but because they are necessary. As long as people lack better options, they will continue to flourish. The task for policymakers is not to eliminate slums by diktat, but to make them obsolete over time by promoting the educational opportunities and spatial integration their residents need.

This commentary is published in collaboration with the International Economic Association's Women in Leadership in Economics Initiative, which aims to enhance the role of women in economics through research, building partnerships, and amplifying voices.

13. Is a Perfect Financial Storm Gathering?

Author: Agustín Carstens | **Date:** Apr 22, 2026 | **Original:** <https://www.project-syndicate.org/commentary/financial-crisis-perfect-storm-private-credit-sovereign-bond-markets-by-agustin-carstens-et-al-2026-04>

WASHINGTON, DC—Traders in financial markets have long been familiar with the witching hour that comes when stock options, index options, and index futures expire every quarter. Regulators have learned to live with the market-rattling episodes that follow it. But policymakers now face a different witch's brew that has been bubbling up for years, and that could prove far more dangerous and harder to contain.

The first ingredient is the explosive growth of financial intermediation outside of the banking system (“non-bank financial intermediation”), comprising a sprawling universe of private credit funds, hedge funds, money-market vehicles, and insurance-linked structures. Many operate, in part, like banks but with minimal oversight from a financial-stability perspective.

The second ingredient is the relentless rise in public debt across major economies, compounded by geopolitical fragmentation and rising tensions that leave little room for policy error.

The last part of the recipe is stalled implementation—or outright reversal in some jurisdictions—of the regulatory reforms enacted after the 2008 financial crisis.

In a new G30 report, we show how these components have become a combustible mix. While we do not predict an imminent crisis—the timing of such events is impossible to call—we do find that warning signs are multiplying, and the window for preventive action is narrowing.

The strains are most visible in private credit, because retail redemptions at publicly listed funds are accelerating and generating headlines. As the stock prices of various business development companies fall, sponsors are being called upon to prop up their lending vehicles.

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True, the amount of money involved so far remains manageable, and the investor base is diverse enough to absorb losses from past excesses. But spillovers into the banking system are inevitable, as we know from the 2021 collapse of Archegos, a \$10 billion family office, and Greensill, a supply-chain-finance firm that failed as a result of the risky loans it had made. While some lenders took the right lessons from these episodes, others, evidently, did not, as the bankruptcies of First Brands, an auto parts group felled partly by off-the-books shadowy non-bank financing, and the subprime auto lender Tricolor show.

The opacity of private credit makes matters worse. The data on such lending disclosed to supervisory agencies and the public tend to be meager and of poor quality. All too often, regulators and markets alike are navigating blind.

But the deeper vulnerability lies in core sovereign bond markets, which ultimately pose a much larger and more systemic risk to the global financial system. The volumes being issued and absorbed by investors here have reached staggering levels.

Between 2008 and 2021, central-bank purchases accounted for 63% of the increase in G7 sovereign debt; but this support has since been removed. With central-bank balance sheets being unwound and commercial banks' capacity stretched, absorbing the growing overhang falls to fickle non-bank lenders.

This is not a hypothetical concern. On multiple occasions in the past decade, shocks to hedge funds, large margin and collateral calls, as well as liquidity shortfalls at investment funds, have tipped core bond markets into dysfunction. The crisis triggered by former UK Prime Minister Liz Truss's unfunded 2022 tax-cutting budget provides a glaring example. Central banks have been forced several times to intervene with massive liquidity injections to prevent systemic collapse.

But such interventions often cause serious adverse side effects that leave central banks reluctant to step in again. This is particularly true when the inflation outlook does not call for monetary easing.

What can be done? The regulatory and supervisory progress that has been made since 2008 is real, but incomplete. The most important task now is to maintain robust regulation and rigorous supervision.

That means stress-testing not just banks but other systemically important parts of the financial system to identify vulnerabilities. It also means making better use of data. Dangerous exposures can often be revealed by using information that supervisors already have, but agencies need to do a better job of sharing what they know across mandates and borders.

As for financial leverage, the case for action is clear. There is no good reason to allow hedge funds to trade at levels 200 times their own money, or with haircuts as low as 50 basis points (and sometimes negative). Minimum margin and haircut requirements should be imposed, and oversight strengthened, not relaxed.

Additionally, the infrastructure underpinning US Treasury markets—the deepest and most systemically important in the world—needs urgent attention. While calls for more robust trading and settlement systems have been heard for years, progress has been minimal.

Make no mistake: the current combination of elevated risk, deregulatory momentum, and limited international cooperation makes timely preventive action unlikely to be sufficient. Financial authorities must plan for a crisis and remedial action, not merely hope to forestall it.

Here, there is room for cautious optimism. The world's major central banks have demonstrated considerable ingenuity in moments of crisis. If they design liquidity facilities for non-bank institutions in advance, they will stand a better chance of providing targeted support, rather than repeating the open-ended interventions of the past.

Such facilities must come with strict access conditions, careful pricing, and firm sunset provisions. The Bank of England's Contingent Non-Bank Financial Institution Repo Facility offers a useful template.

But none of this can happen without political will, ideally exercised cooperatively across the major jurisdictions. That may sound like wishful thinking in today's fragmented environment. But it is a small price to pay for breaking the boom-and-bust cycle, and a far smaller one than the cost of beating back the next financial storm.

14. Morocco's New Model Economy

Author: Abdelmalek Alaoui | **Date:** Apr 22, 2026 | **Original:** <https://www.project-syndicate.org/commentary/morocco-development-story-improvisation-not-grand-schemes-by-abdelmalek-alaoui-2026-04>

CASABLANCA—In 2023, Morocco crossed a critical threshold when the value of its automobile exports surpassed its revenues from phosphates, the mineral resource that had anchored the country's economy for at least a century. Defying expectations, a country with no oil, no gas, and no other obvious resource advantages had become the most dynamic automotive hub in the Mediterranean.

But this was no miracle. It was something more useful: a case study in economic method. When Morocco gained independence in 1956, it inherited a colonial administration designed to extract resources, not to develop the economy. Access to higher education had been ruthlessly rationed. A mere 1,395 students completed secondary school that year, and barely 2,000 university students were enrolled nationwide. There were effectively no lawyers trained to write legislation, no economists to draft a budget, and no engineers to run a port.

So, Morocco turned to the one group that the colonial system had not thought to restrict: doctors. Physicians who had studied in France became ambassadors, ministers, and even prime ministers. The country built its first state with what it had, not with what it wished it had, and it has stuck with this approach. The lesson is not to wait for ideal conditions, but rather to make improvisation a formal policy and redirect available talent accordingly.

Morocco's journey since independence looks less like a triumphal march than like a ship keeping its heading no matter what the weather brings. Rather than trying to sail in a straight line, Moroccan leaders have always tacked and adjusted, while never losing sight of the next waypoint.

The results speak for themselves. Between 1990 and 2019, GDP nearly tripled, and extreme poverty was virtually eradicated. From 2000 to 2017, per capita incomes grew faster than almost anywhere else in North Africa and the Middle East. None of this came from a commodity boom or a foreign windfall. Instead, Morocco developed a specific conception of the state's role in orchestrating economic development. Rather than planning from above or stepping aside entirely, it set the score, brought in the right instruments, and held the tempo.

For example, in building its automotive industry, the goal was never to build one factory, but to shape the domestic supply chain. Rather than simply offering tax breaks to foreign assemblers, the state structured the entire ecosystem. One carmaker would rely on, say, 200 first-tier suppliers, thus drawing 1,000 subcontractors into the chain. By 2023, the sector employed more than 200,000 people, with locally made content exceeding 65%.

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The same logic drove Morocco's energy bet. As a country that once imported 97% of its energy, Morocco had no choice but to treat the sun and wind as strategic assets. Now, it hosts one of the world's largest concentrated solar-power complexes, and one of Africa's largest wind farms. With the government targeting a 52% share for renewables in the national grid by 2030, a former liability has been deliberately transformed into a major asset.

Sustaining this approach over many decades benefited from continuity at the top. King Mohammed VI has played a key role in Morocco's recent development story, not as an omniscient planner, but as the ultimate guarantor of long-term commitments and institutional stability.

Among other things, the king brought Morocco back into the African Union without preconditions in 2017, turning a decades-long defensive posture into a continental strategy. Then, in 2019, he publicly acknowledged that Morocco's development model had fallen short in terms of social justice. Following the launch of a national commission that consulted more than 9,700 Moroccans across the country, Morocco embarked on a new cycle of reforms. By the time COVID-19 arrived, Morocco was prepared to mobilize one of Africa's fastest vaccination campaigns (the king was the first Moroccan to be publicly vaccinated).

These gestures' symbolic power derives from the institutional foundations they reveal. Having spent decades building trust, Moroccan institutions can be highly effective when they need to be. They have also boosted Morocco's regional role. The country is now a leading investor in West Africa, with banks, fertilizer suppliers, telecoms, and logistics networks spreading across the continent. In September 2025, *The Economist* ran a headline that once would have seemed far-fetched: "Morocco Is Now a Trade and Manufacturing Powerhouse."

Still, Morocco's African footprint remains concentrated, and its economy is far from perfect. At home, the richest 10% earn 12 times more than the poorest 10%. A generation of young Moroccans is still waiting for the economy to work for them. It is a familiar problem. Africa has spent too long searching for external development blueprints. Governments have studied the Asian miracle, the European social compact, and the Washington Consensus. Each promised a path to prosperity; none delivered.

Morocco has moved past this futile exercise. It offers not a shortcut but a guiding philosophy. The key is to understand your constraints and build from where you stand. Do not obsess about inherited conditions or the resources you lack. The choices you make, compounded over decades, are what matter.

For centuries, Morocco turned its back on the sea. Today, it faces both shores—the Atlantic and the Mediterranean—and the 2030 FIFA World Cup, co-hosted with Spain and Portugal, will only further this shift.

True, the next chapter poses difficult questions. Bloomberg BusinessWeek has described Morocco as a "connector of globalization"—an economy that is absorbing supply chains displaced by US-China tensions—which implies risks as well as opportunities. Morocco now must sustain its success through an age of technological disruption and external shocks, and it must do so in a way that reaches the young Moroccans who are still waiting for their time in the sun.

15. Does Private-Credit Smoke Mean Financial Fire?

Author: Howard Davies | **Date:** Apr 22, 2026 | **Original:** <https://www.project-syndicate.org/commentary/private-credit-where-theres-smoke-theres-fire-by-howard-davies-2026-04>

LONDON—Aside from the wars that US President Donald Trump has started, there is one major question weighing heavily on the minds of financial-market observers. Are we heading for another meltdown? More specifically, does the rapid growth in private credit pose a threat to the stability of the financial system? The short answer, with apologies to the band Oasis, is “definitely maybe.”

On the “definitely” side of the argument are all the recent warnings from senior (and often prescient) financiers and regulators. For example, the International Monetary Fund has warned that 40% of private credit borrowers now have negative free cash flow. And UBS analysts project that default rates will likely double to 9-10% this year, causing significant stress in the system.

Likewise, Warren Buffett thinks that private credit poses a systemic risk through the links between private credit funds and banks. He has put his money where his mouth is, building a cash pile of close to \$400 billion. Similarly, Andrew Bailey, the chair of the Financial Stability Board (FSB), warns of a “double or triple whammy” if tighter funding conditions accentuate already visible stresses. He calls our attention to “liquidity mismatches, opacity, and growing complexity in certain markets, notably private credit.”

Those on the “maybe” side of the argument include Paul Atkins, the chair of the US Securities and Exchange Commission, who recently told attendees at the IMF Spring Meetings that we should be grateful to have such a flourishing private credit market. “I think as we have been looking at this area, at least as of now, it is not a systemic risk,” he insists. Moreover, plenty of family offices and high-net-worth investors continue to pile into private credit, which has so far provided them with higher returns over time.

So, who has the better side of the argument?

For its part, the FSB has been worrying about the growth of non-bank financial intermediation for years. Overall, NBFIs are now slightly larger than the global banking system, and within this broad category, private credit (definitions of which vary) has grown from around \$300 billion in 2010 to close to \$3 trillion today.

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That is not such a great sum, considering that the global fixed-income markets mobilize about \$140 trillion. But aggregate size is not everything, because there may be pockets (whether geographical or

sectoral) where private credit plays a particularly important role, or where linkages with other finance providers could generate contagion risks across key markets.

A major issue that preoccupies regulators is whether the increase in banks' capital requirements under Basel III has created a new kind of regulatory arbitrage, encouraging banks to lend to funds that pass the lending on to highly leveraged corporates. If so, regulators have simply made risky lending less transparent, causing overall risk to be underestimated. Far from being higher than in the past, the capital backing risky lending is lower—the opposite of what was intended.

Of course, those defending private credit would argue that the capital backing can be lower because a bank lending through other funds is not in the first layer of exposure and is more diversified across a portfolio of other loans. But that does not change the fact that the interposition of funds can result in hidden leverage, or that such funds may face redemptions or refinancing pressures that make the whole structure more brittle. These tensions burst into the open earlier this year when a Blue Owl fund was forced to halt redemptions. Efforts are now underway to construct a secondary market in private credit, but trading there has been negligible, leaving the sector's basic liquidity problem unresolved.

Atkins dismisses such concerns. Investors who need liquidity should not have been in the market at all, he argues: “you have to be willing to take a loss... if you cannot take the heat, get out of the kitchen.” Fair enough, but if you hold a policy with a major life insurer, many of which have become big investors in private credit, you probably were not aware that you had ever entered the kitchen in the first place. You thought you were sitting at a table with a fixed-price menu.

A second area of concern for regulators are the so-called business development companies that raise money from retail investors to fund private loans. BDCs' assets under management have grown to more than \$500 billion, and they are typically leveraged at about 100%, mainly with lending from banks. Some are quoted; some are not.

Recent equity-market moves suggest that there could be trouble in the offing here, though the signals are not yet unambiguous. While bank shares have held up well in recent weeks (all the recent volatility has been a boon to trading desks), publicly traded BDCs are trading at a 10-25% discount. Declines in their stock prices signal growing caution about the private-credit cycle.

A final cautionary sign is that the big investment banks have started to make a market in credit default swaps against funds marketed by Apollo and others. This could be a positive development, since it allows investors to take out insurance against defaults; but until recently, such insurance was not thought to be necessary.

Should we see these developments as the proverbial canaries in the coal mine? Or is it just evidence that some funds have been exposed to a few “cockroaches,” as JPMorgan Chase's CEO, Jamie Dimon, characterized the First Brands and Tricolor Holdings bankruptcies? While we cannot be sure, there definitely seems to be something burning in Atkins's SEC kitchen. Any retail investors still in the vicinity would do well to don their oven mitts and keep a fire blanket close at hand.

16. Will AI Solve Rich Countries' Debt Woes?

Author: Kenneth Rogoff | **Date:** Apr 22, 2026 | **Original:** <https://www.project-syndicate.org/commentary/ai-potential-revenue-gains-may-not-offset-other-harms-and-costs-by-kenneth-rogoft-2026-04>

HONG KONG—Many people seem convinced that the productivity gains from AI will solve the problem of unsustainable budget deficits in advanced economies. By showering governments with higher tax revenues, the thinking goes, AI will leave even the most profligate countries with shrinking deficits.

That could be right. But there are many more reasons to think that such expectations are dangerously optimistic. For starters, AI seems likely to increase the share of capital in output while reducing the share of labor, which tends to reduce the tax intake. Absent a determined effort to increase taxes on capital income—which is becoming ever more difficult as wealth becomes more concentrated, politically powerful, and mobile—it is unlikely that tax revenue will grow as quickly as output.

Moreover, even if revenues do grow, what assurance is there that the political system won't respond by just ramping up spending and deficits even more? After all, the advanced economies are already very rich. In principle, they could have easily managed their finances better if their leaders had found it politically expedient to do so. But being rich has never been an obstacle to going bankrupt. Voters have hardly begun to adjust to the realities of a higher-interest-rate world, where demographic decline and vastly increased needs for defense spending have introduced major new costs. As the median voter grows older, systems already biased against young people will become only more so.

A more immediate concern is that the transition to AI will not be smooth sailing. Many fear a sharp rise in unemployment as firms shed white-collar workers. Some commentators dismiss such warnings as “doomist,” but they might ask themselves why so many top AI researchers subscribe to them. (While some may have a financial interest in hyping the power of their models, plenty of independent experts share the same view.)

The counterpoint is that there will still be many goods and especially services that require a large human component for the foreseeable future. Even if AI can perform some tasks at low cost, humans will be very well compensated to do what AI and robots cannot. This, too, might be right, but the speed at which the AI revolution seems to be unfolding raises doubts about how quickly workers will be able and willing to adapt. Maybe unemployed white-collar workers will prove more flexible than those who lost jobs in manufacturing in recent decades. Even so, the change could come faster than anything we have dealt with before.

Perhaps the most serious and immediate issue is that despite AI's massive potential to make life better, it could also cause profound problems in the absence of proper regulation. The financial industry is only just waking up to the risk that new AI coding tools may help bad actors penetrate systems that were thought to be safe. Likewise, deepfakes are becoming ubiquitous online, where they could threaten political stability by making it impossible for anyone to trust what they see.

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In principle, AI firms' own safety controls could forestall such problems. But with government regulation virtually non-existent, model developers are focused more on gaining a lead in what they see as a winner-take-all race than they are on safety.

Even more sinister are the military uses of AI, which could undo all the technology's benefits in the absence of some kind of international agreement on the issue. Much has been written about the risk of drones and robots that are programmed to kill an enemy independently, without human guidance. Already, not even a world champion stands a chance against a computer in chess. If human generals cannot match AI generals' reaction times and deep-planning capacity, the result could be an uncontrolled escalation of conflicts where human judgment on both sides might have produced a more peaceful outcome.

If AI is not an unalloyed benefit for advanced economies, the calculus is even more fraught for developing countries. Still-poor India has been one of the world's fastest-growing large economies in recent years, far surpassing China's growth rate. But service exports (outsourcing), perhaps the crown jewel of the Indian economy, are now acutely vulnerable to competition from AI. Even if white-collar Indians fulfilling back-office roles remotely are paid far below the level of white-collar workers in rich countries, AI could cost even less.

Of course, some countries could emerge as big winners despite all these costs. South Korea, for example, has found a niche in manufacturing the memory chips essential to developing AI, and Japan has pursued similar opportunities.

What about the United States? As the country driving AI development (alongside China), it may seem safe to assume that it will be a sure winner, and that is certainly what US stock markets think. But if that is the case, the US will likely find itself at the cutting edge of the job losses and social disruption caused by AI. Given America's profound political divisions, there is no reason to believe the transition will be well-managed. And as Iran's use of drones has shown, the evolution of warfare in an AI-driven world may erode America's military advantage and force a sharp increase in defense expenditures.

Although AI could potentially help solve the problem of unsustainable budget deficits in the US and elsewhere, there is a greater likelihood that it will make things worse before they get better. Faced with society-wide disruptions, policymakers may find that fiscal prudence is the last thing on their minds.

17. Escaping the IMF Austerity Trap

Author: Kevin P. Gallagher | **Date:** Apr 22, 2026 | **Original:** <https://www.project-syndicate.org/commentary/imf-austerity-trap-time-for-course-correction-by-kevin-p-gallagher-and-njuguna-s-ndungu-2026-04>.

BOSTON/NAIROBI—With the Iran war sparking economic shocks around the world, the macroeconomic picture for developing countries has darkened. Rising fuel and food prices are draining foreign-exchange reserves and stretching budgets. The pass-through effects on domestic prices have fueled an inflationary spiral. Sovereign bond spreads are pushing the growing number of countries with serious external debt vulnerabilities toward the precipice.

The International Monetary Fund was built to provide emergency liquidity to help countries through times like these. Yet the majority of its members tend to avoid it, because they know that its programs often make matters worse. Fortunately, with the IMF now conducting a formal review of its track record, it has an opportunity to change course. It can take stock of the overwhelming evidence that its programs fall short of their intentions, and devise programs that account for countries' specific characteristics and challenges.

To be sure, some countries' troubles reflect their own profligate spending. But over the past decade, most debt distress across the Global South has been due to forces beyond governments' control, including war and conflict, interest-rate hikes, climate change, and the COVID-19 pandemic. Yet regardless of the source of the problem, the IMF tends to apply a "one-size-fits-all" solution: to receive emergency funding, you must slash spending and deregulate your economy.

Notably, this is the opposite of what advanced economies do when confronting crises. In the case of COVID-19, rich countries spent trillions of dollars—6% of GDP, on average, in 2021—to absorb the shock. The IMF's rationale for this contradiction is that while austerity may cause short-term pain, it will create the conditions for private capital to return to the country.

Recent research suggests otherwise. For example, a new study from the Boston University Global Development Policy Center shows an ambiguous to negative relationship between IMF programs and capital formation. Moreover, an analysis of the 21 most recent peer-reviewed articles and IMF reports on the matter reveals that the Fund's programs have no impact on changing the export structures that made recipient countries vulnerable in the first place.

Even the IMF's own research has repeatedly found that its programs underperform their growth projections. This is largely because the IMF underestimates the negative effects of fiscal consolidation on the broader economy (despite claims that the Fund has reformed its approach, its programs have not become less contractionary in recent decades). But it is also because the IMF often acts as though the causes of balance-of-payments constraints are internal. In reality, balance-of-payments crises are often triggered by exogenous shocks like the one stemming from the Iran war.

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As if the economic shortcomings of IMF programs were not worrying enough, they also inflict significant collateral damage by increasing poverty, inequality, negative health outcomes (like neonatal mortality), and deforestation, which in turn can undermine political stability, generating consequences that can reverberate internationally.

Few cases better encapsulate these dynamics than Kenya's recent IMF program, which one of us (Ndũng'ũ) witnessed firsthand. At the beginning of 2024, the country faced a liquidity crisis. With its fiscal year 2025-26 total debt repayments and debt-servicing costs swallowing approximately 56% of government revenues, Kenya would have very little fiscal space to invest in growth and development. Yet even under these tight conditions, the IMF's program required it to slash spending and raise taxes.

Such demands reflect a basic misunderstanding. In countries like Kenya, whose large informal sector is difficult to tax, higher tax rates do not generate higher revenues. Kenyan officials had planned to lower tax rates and broaden the tax base, as Ethiopia has done. Yet the IMF considered this approach too risky. Kenya also had a plan to address tax losses due to exemptions and deductions, which amounted to roughly 2.94% of GDP, but the IMF objected to the proposed reforms, arguing that they were misaligned with its own short-term program targets.

The all-too-predictable result of harsh austerity was a wave of social and political strife, which left the country even more vulnerable to shocks like the current one. Debt levels and servicing costs have continued to rise, economic growth remains stagnant, and poverty and unemployment are increasing fast. With young people especially affected by these trends, the potential for social disruption has only grown.

The African Economic Research Consortium has conducted numerous studies showing that growth-oriented strategies accompanied by redistribution policies are a better path to recovery. Rather than imposing cookie-cutter fiscal consolidation, the IMF should be devising country-specific programs to jump-start growth and boost tax collection.

The IMF has a vital role to play in the international financial architecture, but it is not fulfilling its mission. For the first time since 2018, it has an opportunity to change course through its Review of Program Design and Conditionality, which is currently underway.

Rather than doubling down on an ineffective approach, the IMF should support developing countries in undertaking countercyclical responses to shocks, akin to the policies that the Fund's major shareholders choose for themselves. Achieving longer-term economic transformation is difficult enough without the IMF obstructing the necessary investment and diversification.

18. The Private Credit Panic Is Overblown

Author: Dambisa Moyo | **Date:** Apr 20, 2026 | **Original:** <https://www.project-syndicate.org/commentary/why-private-credit-is-not-in-crisis-despite-growing-strains-by-dambisa-moyo-2026-04>.

LONDON—Over the past few weeks, headlines have focused on emerging signs of stress in the \$2 trillion private-credit market, particularly among non-traded business development companies. These funds, which lend to small- and medium-size US businesses, now hold roughly \$270 billion in assets.

But fears of a looming private-credit crisis are overblown. The health of any credit market—private or public—ultimately hinges on the same four factors that have driven every credit cycle in history.

The first factor, particularly affecting the insurance industry and the banking system, is underwriting quality and the channels through which credit losses are transmitted. Here, there is reason for concern, as private-credit deals often feature weaker covenants and more permissive structures than conventional bank loans.

Even so, while the full extent of the insurance industry's exposure is difficult to gauge, existing capital reserves should help absorb losses from underperforming loans. The Federal Deposit Insurance Corporation's Deposit Insurance Fund totaled \$154 billion at the end of 2025, about three times its pre-2008 level. The National Association of Insurance Commissioners has also indicated that insurance-company portfolios are well protected against the additional risks associated with private credit.

Moreover, risks to the banking system appear limited. The overall scale of private credit remains relatively small, especially compared with the mortgage market before the 2008 financial crisis. At roughly \$2 trillion, the direct lending market accounts for about 3% of total US household and business debt. Mortgages, by contrast, made up roughly 60% of total household and corporate debt in 2006, at the peak of the housing bubble.

Banks are also largely insulated from first-loss risk, which is typically borne by private-credit investors. And unlike in 2008, private-credit defaults are more likely to unfold gradually rather than all at once. This suggests that the 5% redemption gates common in private-credit funds may be more stabilizing than many assume. While controversial, these limits slow withdrawals and ease immediate liquidity pressures.

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The second key determinant of credit-market health is who ultimately bears the risk. Problems tend to arise when the “wrong” investors—particularly relatively unsophisticated retail investors pursuing

higher returns while holding inherently illiquid assets, as well as institutions engaged in regulatory arbitrage—are the ones exposed. For example, some insurers use private-credit structures to obtain favorable regulatory treatment, enabling them to hold less capital against their investments. As a result, their positions can appear less risky than they really are.

The third factor is leverage. Excessive leverage has been a major driver of past credit crises, with losses spreading through the banking system into the real economy. But the shift in credit creation away from banks to non-bank financial institutions has reduced leverage within the traditional banking system, making the risks less severe than in previous cycles.

But that shift comes with its own set of concerns. According to JPMorgan Chase CEO Jamie Dimon's annual letter to shareholders, non-bank institutions account for 64% of leveraged lending, up from 54% in 2010. Strikingly, non-banks' share of mortgage origination rose from 9% to 77% over the same period. Consequently, a growing portion of credit risk now sits outside the traditional banking system and, to some extent, beyond regulators' reach.

In practice, leverage enters the financial system in two main ways: through debt taken on by borrowers and through borrowing by investors and credit funds themselves. On the borrower side, debt levels appear relatively stable, with leverage rising only modestly from 4.8 times earnings in 2024 to just over five times earnings in 2025.

Pricing is far less transparent, but there is a growing sense that some loans have been priced too aggressively, allowing companies to take on more debt than fundamentals justify. Higher leverage, in turn, erodes the equity cushion and lowers recovery rates as conditions deteriorate.

At the fund level, creditors often borrow and then lend to businesses. While this can boost returns in good times, it can also exacerbate losses in downturns. Those losses can then spread through the financial system and into the broader economy. But credit controls and higher capital requirements, such as those imposed on global systemically important financial institutions following the 2008 crisis, help reduce the risk that defaults spill over into the real economy.

The fourth factor for credit markets is the quality of the assets being financed. The key question is whether those assets generate consistent cash flows, or whether debt is tied to speculative or unproductive investments like cryptocurrencies, art, and undeveloped land, which can leave the broader economy vulnerable to a credit shock.

More recently, attention has turned to asset-light businesses, which offer limited collateral in the event of distress. According to JPMorgan, private-credit portfolios have roughly 40% exposure to the tech and business-services sectors—higher than any other segment of the market.

Investors are right to be concerned about that figure. Even so, from a broader perspective, the risk it poses is less systemically threatening than the subprime mortgage boom that fueled the pre-2008 housing bubble.

Taken together, these developments point to a market that warrants close scrutiny but is not approaching crisis conditions. For now, predictions of a private-credit meltdown appear to be running ahead of the facts.

19. What Really Drives China's Massive Trade Surplus

Author: Shang-Jin Wei | **Date:** Apr 20, 2026 | **Original:** <https://www.project-syndicate.org/commentary/how-to-fix-china-massive-trade-surplus-by-shang-jin-wei-2026-04>

NEW YORK—China's massive trade surplus, which reached a record of \$1.2 trillion in 2025, has become a central fault line in its economic relations with other countries. As competition from Chinese imports increasingly weighs on domestic industries, French President Emmanuel Macron has warned that Europe faces a "Chinese tsunami" and called for a "rebalancing." Policymakers across the continent have voiced similar concerns.

This pressure is unlikely to ease anytime soon. The Chinese economy is growing faster than those of its trading partners, so even if its current-account surplus remains stable as a share of China's own GDP, its bilateral trade surpluses could continue to grow.

While China's trade surplus is often attributed to its industrial policies and trade barriers, this explanation is misleading. Industrial policies do matter at the sector level, with government subsidies boosting exports in industries like shipbuilding, solar panels, and electric vehicles (EVs), but these gains do not necessarily carry over to the trade balance.

The Lerner Symmetry Theorem, which states that import tariffs have the same long-term effects as export taxes, helps explain this pattern. Export subsidies tend to increase both exports and imports: as export sectors expand, they draw resources away from import-competing industries, which then contract, leading to greater reliance on imports. By the same logic, import restrictions often reduce both imports and exports. In other words, such measures primarily affect the composition of trade rather than its overall balance.

China's own experience is a case in point. Since 2017, the government has actively promoted imports through initiatives like the China International Import Expo. While most countries use taxpayer-funded programs to promote exports, few subsidize imports. But despite strong political backing, these efforts have done little to reduce China's trade surplus, in line with the Lerner Symmetry Theorem.

To understand the persistence of China's trade surplus, one must look beyond industrial policies. The key lies in the gap between national savings and investment, which determines the current-account balance. In China, investment is high by global standards, but its savings rate is even higher, exceeding 40% of GDP.

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China's high household savings rate is driven by structural forces, such as its skewed sex ratio. Decades of strict family-planning policies, combined with a cultural preference for sons, have created a surplus of men. The resulting imbalance has given rise to what I call a "competitive saving motive," as families with sons save aggressively to improve their children's prospects in an increasingly tight marriage market. These pressures often spill over to households with daughters and those without young children, raising the national savings rate.

The numbers tell a clear story: regions with higher male-to-female ratios consistently exhibit higher household savings rates, and households with sons tend to save more, especially where the gender imbalance is most pronounced. This factor alone may account for up to half of the rise in China's savings rate since the 1990s, yet it is rarely acknowledged in policy discussions.

A structural factor behind China's high corporate savings rate is financial underdevelopment. The country's financial system has long favored state-owned enterprises, leaving private firms, which are often more productive, with limited access to credit. As a result, many firms must rely heavily on retained earnings to finance investment.

Together, these forces generate a sustained gap between savings and investment, which, in today's globalized economy, manifests as a large trade surplus. Government savings, by contrast, play a limited role, as they have been negative for many years and thus contribute little to the overall surplus.

Could increased government spending, particularly on social programs, help reduce China's trade surplus? To some extent, yes. Higher public spending would lower government savings and diminish households' need for precautionary savings. But this approach has its limits. China's social spending is already broadly in line with that of other middle-income countries, and moving toward a Western European-style welfare model could weaken incentives to work, innovate, and invest, thereby slowing growth.

To be sure, short-term measures such as monetary and fiscal stimulus could boost domestic demand and imports, temporarily narrowing the trade surplus. But a lasting solution requires deeper structural reforms to address the gender imbalance and improve private-sector firms' access to finance. While these reforms will take time to bear fruit, without them China's trade surplus is bound to remain a source of friction for years to come.

20. The World Needs an Oil Buyers' Club

Author: Isabella M. Weber | **Date:** Apr 17, 2026 | **Original:** <https://www.project-syndicate.org/commentary/oil-buyers-club-can-limit-inflation-and-avert-recession-amid-iran-war-energy-crisis-by-isabella-m-weber-and-gregor-semieniuk-2026-04>

AMHERST—The US blockade of maritime traffic entering and leaving Iranian ports in the Strait of Hormuz—a critical waterway through which Iran was previously preventing the passage of most ships—is intensifying the global energy crisis. If Iran's seaborne exports are interdicted on top of the energy exports of the Gulf countries, nearly 25% of total traded crude oil will be missing from global markets. Net oil-importing countries will be hit the hardest. Already, countries in Asia and Africa are facing energy shortages, which will only worsen.

In such a crisis, allowing market prices to determine how oil is rationed amounts to submitting to the law of the jungle. High-income countries outbid low-income countries, enabling the wealthy to maintain their energy use, while the poor are priced out. This was a key lesson of the COVID-19 pandemic (with critical medical supplies) and the 2022 energy crisis: in times of crisis, market allocation leads to grossly unjust outcomes. The extremely volatile prices we have witnessed in recent weeks are not rational arbiters of supplies, but an expression of animal spirits reacting to the latest social-media posts by US President Donald Trump and speculations about the future course of the war.

There is a better way. Instead of allowing market panic to dictate distribution and pricing, policymakers should pursue multilateral coordination to defend a price ceiling in global oil markets and allocate scarce resources in a way that meets people's essential needs and minimizes the economic fallout. Put simply, the world needs an oil buyers' club.

The European Union should take the lead. Accounting for 23% of global crude oil imports (Chart 1), the EU28 alone have substantial buying power. They demonstrated as much during the last crisis, when they imposed a European emergency gas-price cap. But this time the shortfall is larger, and oil is more fungible globally, so it would be important for other net importers to join. More participants will make for a more powerful mechanism.

The EU should aim, first and foremost, to bring in other high-income countries that are major refiners of imported oil—notably, Japan, South Korea, and Singapore. Since low- and middle-income countries have few means for outbidding their high-income counterparts on global oil markets, they have every incentive to participate.

If China—the world's largest oil importer, accounting for 23% of the total—also decided to join, the importers' club would have the market cornered. In 2023 (the latest year for which the International Energy Agency provides complete global data), net importers purchased slightly more than 80% of globally traded crude oil. This means that, together, net importers could effectively act as a monopsony—like a monopoly, but on the demand side. All net importers of crude oil would immediately benefit from lower prices.

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EU-China coordination also would send a powerful geopolitical message, demonstrating the EU’s ability to conduct an independent foreign policy. If China did not join, the EU would have a rare opportunity to take the lead in forming a meaningful global alliance that includes Global South countries—no small feat for a bloc that has been struggling to find its place in a world of intensifying superpower competition.

The buyers’ club should cap oil prices for physical delivery at a level that would still be very attractive for exporters—say, \$100 per barrel. (For comparison, Sri Lanka recently paid \$286 per barrel of oil delivered, and European buyers are now paying \$150 per barrel of North Sea crude.) As for allocation, because low-income countries account for only 0.1% of global imports, they should be allowed to maintain their pre-war import levels. All other countries would reduce their imports by the same share: if about 25% of global exports are missing, a 25% reduction in pre-war imports should be agreed.

Refiners in the club would be prohibited from making windfall profits and required instead to sell onward with margins prevailing in non-war times to domestic buyers and to other club members, thereby preserving the capped price for refined products like diesel and liquefied petroleum gas. It is important that club members commit to maintaining pre-war levels of refined-product exports. The alternative—acquiring oil at low cost thanks to everyone’s participation, but keeping a larger share for themselves—would cause the club to break down. The buyers’ club could be extended to refined oil products imported from outside its members.

Countries with positive net exports of crude oil could also be enticed to join the club, strengthening it further. For starters, crude exporters that import substantial volumes of refined oil products, such as Angola and Ecuador, might want to secure the lower price afforded to club members. More broadly, exporters might want to anchor domestic oil prices to the club price, thereby preventing higher domestic fuel prices from hurting local consumers. If the buyers’ club also introduces a price floor—say, \$65 per barrel—oil exporters who join would enjoy more stability going forward. The floors could be written into long-term supply contracts.

The buyers’ club would protect livelihoods, limit inflation, and help contain recessionary pressures. It would also deliver fiscal savings, which could be invested in the swift expansion of low-cost, low-carbon alternatives. Renewable-energy deployment and electrification should be accelerated. Public transportation should be made free. Domestic energy-saving schemes, which ensure the fair allocation of scarce resources, should be democratically legitimized and designed in ways that guarantee basic needs and the viability of industrial systems.

The buyers’ club does not create the shortages; they are there anyway. The club is a mechanism for spreading the cost more equally, building solidarity among importers, and preventing costly bidding races while the emergency lasts.

Amid a crisis of multilateralism, an oil buyers' club might seem utopian. But the idea is not new. A similar scheme for allocating raw materials was implemented for allied countries during World War I. A multilateral oil buyers' club is precisely the kind of bold initiative that countries need to weather the current crisis—and that the world needs to strengthen preparedness for future shocks.

For the EU, leading an initiative built on distributional fairness would amount to more than good economic policy. As the world order crumbles, it would strengthen the bloc's position as a global power that stands for peace and cooperation.

21. Adam Smith on the US Midterms

Author: Glenn Hubbard | **Date:** Apr 16, 2026 | **Original:** <https://www.project-syndicate.org/commentary/what-adam-smith-would-tell-donald-trump-ahead-of-the-us-midterm-elections-by-glenn-hubbard-2026-04>

NEW YORK—November’s midterm elections pose a serious challenge for US President Donald Trump. Key components of his economic agenda, especially its protectionist measures, have raised concerns about the rising cost of living, prompted a rare rebuke from the Supreme Court, and cast doubt on the legal basis for his tariffs. Fortunately for Trump and the Republicans, they still have time to pivot to a pro-growth agenda that better addresses voter anxieties before the midterms.

Trump’s agenda is rooted in voter concerns about economic disruption driven by technological change and globalization. Breaking with the bipartisan embrace of market-friendly policies, his administration has sought to shield US producers from competition. While Treasury Secretary Scott Bessent has hinted that a pivot to a pro-growth strategy is in the works, reconciling it with the administration’s mercantilist approach will be difficult.

There is, however, an alternative path that better aligns with Trump’s stated goal of helping people and communities buffeted by economic change. For guidance, it is worth turning to Adam Smith. The *Wealth of Nations*, published 250 years ago, grappled with many of the same tensions and pointed to a pragmatic middle ground.

At first glance, Smith may seem at odds with Trump’s approach. After all, *The Wealth of Nations* centers on Smith’s critique of the mercantilist order of his day. Mercantilism prizes trade surpluses and the accumulation of national wealth in the hands of the state. To work, it requires extensive government intervention in commerce, trade, and labor markets. But that expansive role invites rent-seeking and excessive control, a key concern for Smith.

Smith’s treatise turned this system on its head by posing a radical question: Where does national wealth come from? For Smith, the answer stood in contrast to mercantilism. A competitive economy, with limited government intervention, would be accompanied by openness and specialization, in turn raising living standards.

While Smith did not develop a formal theory of growth, his intuition about the importance of openness to markets and innovation is consistent with modern growth models and stands in contrast to Trump-era policymaking. As Nobel laureate economist Joel Mokyr has noted, science, practical knowledge, and openness to change are key drivers of long-term prosperity.

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But Trump has also identified an important tension. Modern growth models are like a coin. The “heads” side is growth and its benefits for living standards; the “tails” side is disruption—the upending of existing investments, firms, jobs, and even communities. It is here that Trump’s mercantilism, with its focus on minimizing the effects of disruption on voters’ lives, gains political traction.

Smith challenges this perspective in two ways. First, he reminds us of the limits mercantilism places on living standards. Second, in *The Theory of Moral Sentiments*, which he considered his finest work, he emphasizes empathy and what my Columbia colleague Edmund S. Phelps calls “mass flourishing,” which aims to ensure that everyone benefits from economic progress, including those disrupted by its forward march.

Here, then, is the policy alternative to both Trumpian mercantilism and market orthodoxy: augmenting Smith’s concept of “competition” with the “ability to compete.” Such an agenda would center on preparation and reconnection, both vital for participation in—and support for—an open economy.

One place to begin is workforce development. In the United States, community colleges are well positioned to serve as training grounds for skill development and career transitions, often working closely with local employers to create quality jobs. While support for community colleges has declined in many states, a federal block grant focused on completion and skill development would significantly enhance their impact.

Similarly, a more generous Earned Income Tax Credit could boost labor-force participation and attachment. Increased funding for basic research, alongside support for applied research centers across the country, could raise productivity by bringing cutting-edge tools to businesses, much as land-grant colleges have historically done in agriculture and manufacturing.

To reconnect displaced workers, personal re-employment accounts—combining funds for training with re-employment bonuses—could help reduce the duration of joblessness. For communities affected by structural economic change, more effective place-based aid could support productivity-enhancing business services in lower-income areas with higher unemployment.

Such measures, along with a growth-oriented agenda, could reshape the electoral landscape. Investments in AI and electricity generation could be accelerated through regulatory reform, particularly by easing permitting rules under the National Environmental Policy Act. To increase the housing supply, a prerequisite for mobility and growth, the administration could propose incentives for state and local governments to scale back restrictive construction regulations.

Going further, the administration would need to abandon its nativist immigration policies. Increasing the number of high-skilled immigrants, particularly in STEM fields, would boost growth, as immigrants have been shown to drive technological innovation, leading to more patents, higher productivity, and rising incomes.

Likewise, expanding federal support for research and development would yield high returns. Some estimates suggest that the returns are so large that the net cost to taxpayers may be zero or even negative, as higher productivity generates enough additional tax revenue to offset the cost. Combined

with a stable macroeconomic environment and pro-investment policies of the kind Trump has championed, these changes could significantly accelerate growth.

A more constructive approach to economic disruption would shift away from broad tariffs and protectionism, which tend to raise consumer prices and erode the competitiveness of US manufacturing by increasing input costs. The Supreme Court's recent reversal of many tariffs imposed by Trump under the International Emergency Economic Powers Act has created an opportunity—and underscored the need—for a course correction.

Trump has rightly raised questions about the economic consequences of technological change and globalization. Two and a half centuries after its publication, *The Wealth of Nations* points toward a necessary pivot away from mercantilism and toward a more balanced, pro-growth framework.

22. How to Future-Proof the Global Economy

Author: Mohamed A. El-Erian | **Date:** Apr 16, 2026 | **Original:** <https://www.project-syndicate.org/commentary/update-economic-consensus-to-build-resilience-amid-extreme-volatility-by-mohamed-a-el-erian-2026-04>

NEW YORK—An uncomfortable reality is becoming increasingly difficult to ignore. The global economy is in a period of “more frequent and violent shocks,” as Nobel laureate Michael Spence puts it. Instead of facing isolated and temporary disruptions, we are confronting a structural shift toward unsettling volatility, deepening fragmentation, and a wider dispersion of outcomes for countries, companies, and households. The old world is gone, and virtually everyone risks losing out in the new one. The question is by how much and what to do about it.

The Iran war, which spread across the Middle East, exemplifies this new reality. Even though the local, regional, and global damage has been going from bad to worse, introducing a durable circuit breaker has proved difficult. As such, the economic damage is evolving and deepening, with early effects on energy prices and interest rates fueling broader inflation and raising the risk of lower growth and financial instability.

This phenomenon is not new. A circuit breaker has proven equally elusive for the Ukraine war, and we have seen the same dynamics in narrower economic and finance spheres, from the weaponization of tariffs and investment sanctions to supply-chain fragmentation. It is tempting to treat each of these as standalone episodes—and many policymakers and investors are doing just that. This is a mistake.

Rather than constituting isolated events, the current instability is the predictable result of the loss of three previously dominant narratives with no unifying ones to replace them. The first is globalization. Gone are the days when ever-deeper economic integration was seen to act as a stabilizing force. The promise that interdependency would reduce the risk of conflict has been replaced by the weaponization of trade and finance, and the exploitation of chokepoints. Because the world failed to address globalization’s adverse distributional effects early on, the essential trifecta of respected global standards, effective multilateral institutions, and the rule of law is now being dismantled in favor of unilateralism, fragmentation, and impunity.

The second narrative anchor is the Washington Consensus. The belief that liberalization, deregulation, fiscal responsibility, and central-bank independence hold the key to prosperity at the country level has been dying a slow death in recent years. Ironically, the United States has led the way in upending this approach domestically, despite having spent three decades championing it for the rest of the world.

Then there is AI, which is poised to change the assumptions that have long underpinned business models and labor markets. While AI has immense transformative potential as a general-purpose technology—not least for productivity—new frameworks are badly needed to guide adoption. Otherwise, the disruptions risk outpacing societies’ ability to adapt.

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The loss of these three anchors has given rise to a culture of distrust, zero-sum thinking, and short-sighted decision-making, which destroys the old without ready replacements on hand. As suspicion displaces engagement, the quest for expensive self-reliance displaces pooled insurance, and durable coordination becomes impossible. The global orchestra is playing from different sheet music, with no conductor in sight. The result is as disruptive as it is cacophonous.

Disorderly fragmentation will lead to lower growth, higher inflation, and greater inequality. But all is not lost: the trajectory of this new world can still be shifted in a more positive direction, if we have the courage and wisdom to abandon outdated mindsets and build a new five-part consensus.

First, it is time to move past the “globalization versus protectionism” binary. Governments should instead consider what former British Prime Minister Gordon Brown calls “managed globalization lite”—a pragmatic approach to friendshoring and de-risking that secures critical supply chains and chokepoints, without descending into counter-productive trade wars and other beggar-thy-neighbor policies.

Second, sustainable and inclusive growth must return to the top of national agendas. This does not mean throwing money at the demand side of the economy through yet more fiscal and monetary stimulus. Nor does it mean stealing growth from other economies—or from the future. Rather, it means focusing on productivity gains, infrastructure improvements, and secular transitions in energy and beyond.

Third, the most vulnerable households need support. As it stands, too many countries’ safety nets lack effectiveness or inadvertently push vulnerable groups to become wards of the state—undermining labor-force participation in the process—rather than providing the protections and opportunities necessary to deliver security and empowerment.

Fourth, the trajectory of AI cannot be left to the invisible hand of the market. Policies governing this transformative innovation must tilt the scales toward labor enhancement over displacement (augmentation over automation). This means using tax systems to adjust incentives, and pursuing early-win investments in social sectors like health and education, where AI can bridge service-delivery gaps. It also means providing guidance to companies that encourage pro-job and pro-productivity restructuring and reinvention, not just immediate cost savings through labor displacement. And it means retooling public-private partnerships to ensure that the workforce remains agile and adequately skilled, and offering transition support for the most vulnerable segments of the population.

Finally, to safeguard international institutions, they must be reformed. The United Nations, the International Monetary Fund, and the World Bank remain constrained by outdated structures and governance systems. Without a more representative and responsive multilateral system, outcomes that were once unthinkable will become increasingly likely, jeopardizing our future well-being.

The problems we face today will not fix themselves. Without vision and concerted effort, our human, financial, and institutional resilience will continue to erode, leaving us increasingly vulnerable to frequent and violent shocks. We must stop yearning for the world of yesterday, and instead adapt to the world of today and create the anchors and momentum we will need to thrive in the world of tomorrow.

23. Is the US Falling Victim to the Resource Curse?

Author: Jeffrey Frankel | **Date:** Apr 16, 2026 | **Original:** <https://www.project-syndicate.org/commentary/is-us-falling-victim-to-the-resource-curse-by-jeffrey-frankel-2026-04>

CAMBRIDGE—It would appear reasonable to expect that countries with huge natural-resource wealth (oil, natural gas, minerals, and even agriculture) would have a leg up on less-endowed countries. Yet resource-rich countries in Africa, the Middle East, and Latin America have often failed to achieve the prosperity that some resource-poor islands and peninsulas in East Asia have. Now, some believe that this “resource curse” might be claiming a new and unlikely victim: the United States.

The curse is real. The negative correlation between natural-resource exports and economic performance is statistically significant in a sample of 113 countries. In 1970–2024, countries where fuels and minerals constituted half of exports averaged 0.9 percentage points lower GDP growth annually—49% cumulatively—than countries without resources.

A survey of research on the resource curse reveals four possible transmission channels. The first is commodity-price volatility: frequent switching among sectors in response to ever-changing price signals creates costs and discourages investment.

The second channel is known as Dutch disease. As a commodity-price boom induces real exchange-rate appreciation, non-commodity tradable sectors—specifically, manufacturing—become less competitive. The result is a macroeconomic shift away from these sectors and into non-traded goods and services, like housing and government activities. Since manufacturing is what delivers dynamic gains—learning by doing, technological progress, and innovation spillovers—the overall effect on economic growth is negative.

The remaining channels are institutional. Natural-resource endowments can lead to anarchic institutions, resulting in the rapid depletion of non-renewable resources and political instability, even civil war. Heavy dependence on natural resources also tends to result in rent-seeking and corruption, facilitating the entrenchment of autocratic and oligarchic systems, which are prone to policy failures. A government that controls oil or minerals has less need for tax revenue, and thus has little incentive to foster democracy and decentralized private-sector growth.

This dynamic was apparent in Europe’s American colonies. The original assumption was that Spain’s colonies in Latin America were more valuable than Britain’s in North America, because they had minerals like gold and plantation crops like sugar. (Gold had not yet been discovered in North America.) But pervasive rent-seeking, social stratification, and the rise of oligarchy meant that these endowments brought limited benefits for development.

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By contrast, Britain's colonies had little choice but to foster a dynamic private sector, particularly after they gained independence. By the time the Industrial Revolution got underway in the 19th century, the US had established an economic environment that proved to be highly conducive to growth and development.

Today, the US remains the world's largest economy, with a dynamic and wealthy private sector. And yet, it is increasingly acting like a petrostate. US oil and gas production got a major boost around 2009, thanks to an impressive technological revolution in shale energy. But it was US President Donald Trump's return to the White House last year that brought an aggressive shift toward oil and gas, at the expense of renewables.

Trump claims that fossil fuels are vital to American security, power, and prosperity, whereas renewables are a "joke"—expensive, unreliable, and incapable of meeting America's needs. And he has used a range of tools to enact this narrative. As he has increased fossil-fuel subsidies, including offering below-market leases for drilling on federal lands, he has rolled back the subsidies for renewables enacted by his predecessor, Joe Biden, blocking permitted wind and solar projects, and canceling relevant federal loans.

But Trump is wrong. Near-miraculous advances in the production of goods like solar panels, windmills, electric vehicles, and batteries have caused the costs of renewable energy to plummet in recent years, making it competitive with fossil-fuel energy. All Trump is doing is ensuring that the US is excluded from this progress, which is happening largely in China and, to a lesser extent, Europe.

The Nobel laureate economist Paul Krugman argues that the revival of US fossil-fuel production since 2010 has crowded out manufacturing in general and renewables in particular. His back-of-the-envelope calculation suggests that the shale-energy boom has left US manufacturing around 10% smaller, and manufacturing employment about 1.3 million lower than it would have been otherwise.

Is this the resource curse at work? I have my doubts. Of the four transmission channels, two are said to apply to the US today: the fossil-fuel industry is crowding out sectors (renewables and other manufactured goods) that might be producing more dynamic gains, and soaring wealth among fossil-fuel owners is having a corrupting political influence.

There are certainly signs of both. But oil and gas, as well as agriculture, accrue dynamic gains from technological spillovers and learning by doing, just like manufacturing and, more recently, renewable energy. Moreover, the enormous productivity increases in farming and mining that the US has recorded over its history—thanks partly to federal support for research—did not foreclose enormous productivity increases in manufacturing. The same has been true in Australia, Chile, Norway, and, increasingly, Southeast Asia.

Policies that facilitate the flourishing of the natural-resource sector need not come at the expense of manufacturing or other sectors. The key is to have the right conditions in place to allow many sectors to thrive: a robust rule of law, low corruption, checks on the executive, an independent judiciary, macroeconomic stability, free trade, and public support for research.

With the Iran war, which has driven oil prices to nearly double their pre-war rate, US oil companies now have even more incentive to increase production. But the war—horrific in virtually every respect—might also have a faint silver lining: faced with higher fossil-fuel prices, users will embrace renewables, stimulating further productivity gains there.

24. Is the Iran War America's Suez or Its Gallipoli?

Author: Yanis Varoufakis | **Date:** Apr 16, 2026 | **Original:** <https://www.project-syndicate.org/commentary/america-iran-war-resembles-gallipoli-not-suez-by-yanis-varoufakis-2026-04>.

ATHENS – When Egypt closed the Suez Canal for five months in 1956, it triggered events that shrunk the global standing of Britain's pound sterling, inaugurated the petrodollar age, and demonstrated how a small country can inflict serious damage upon the economic power that had subjugated it decades earlier.

Some argue that the United States is now facing its own Suez moment. While this is a facile take on the financial impact of the closure of the Strait of Hormuz, so is the nonchalance with which some assume the dollar's hegemony to be impervious to President Donald Trump's Iran war blunder.

The similarities between Iran's actions and the Suez Crisis are deceptive. True, Egypt and Iran both choked off oil supplies by closing down a waterway under their control. Energy prices rose sharply in the hegemons' economies. Financial markets suffered, and so did the poorest, who always bear a disproportionate share of cost hikes for fertilizer and transport. But several fundamental differences suggest that Hormuz will not be for the US what Suez was for Britain.

Suez merely confirmed Britain's bankruptcy, the result of precise and intentional acts 11 years earlier by the emerging American hegemon. In December 1945, the US roped Britain into a paid-for loan that rolled over Britain's wartime debts. Britain's insolvency was sealed. All Suez did was to confirm that a bankrupt former empire could no longer project imperial power. The US, in contrast, is nowhere near such a state of disrepair, despite Trump's incompetence and reckless governance.

Though there is much consternation about US bond yields, against the backdrop of spiraling federal deficits and debts, any comparison with Britain's fiscal stress in 1956 is beside the point. The British Empire never succeeded in establishing sterling's exorbitant privilege—the remarkable power of the US to ensure that its deficits are paid for by massive capital inflows that are the flipside of America's massive trade imbalance with the rest of the world.

Today, non-Americans require around \$1 trillion annually to buy oil from non-Americans—roughly the size of the 2026 US defense budget. They must sell goods and services to the rest of the world to earn dollars to buy their energy, raw materials, and US weapons. The US, unlike everyone else, prints the dollars that others need to buy all the stuff they want and need—and then passes the borrowing costs on to foreigners. Add to this the \$100 trillion of outstanding dollar-denominated global debt, and we get a fuller picture of America's enduring inordinate privileges. Britain never had them.

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Likewise, though rising gasoline prices are inflicting pain on the majority of Americans, the US does not need oil from the Gulf to keep its gas stations open. This was not true of Britain in 1956, which needed the oil coming through the Suez Canal for its own energy as well as to keep a respectable share of foreign transactions denominated in sterling.

It's a similar story with the two countries' banking systems. The Suez Crisis dented the City of London's earnings severely. Seventy years later, Wall Street banks are reporting trading revenues of more than \$40 billion for the first quarter—profiting massively, along with the rest of corporate America, from the volatility in financial markets caused largely by Trump's adventurism. The fact that most Americans suffer terribly is irrelevant in a world where American hegemony and the wealth of America's ruling class are inversely related to its citizens' well-being—which, ironically, is the contradiction that fueled Trump's rise to the presidency.

While the closure of the Strait of Hormuz does not signal the end of the petrodollar system's dominance, it does point to the structural changes necessary for a transition away from American hegemony.

Consider Pakistan, whose military government is basking in the glow of having emerged as a key intermediary between Trump and the Iranian regime. For a while now, Pakistan has been shifting its industrial base from a petro-economy to an electro-economy reliant on renminbi-denominated Chinese solar panels. Other Asian and African countries are following suit, eroding the US hydrocarbon-dollar complex. This development is a bigger problem for the US than the trickle of oil transactions (such as sales of Iranian or Russian oil) denominated in renminbi rather than dollars.

Then there is the Ukraine effect. By sequestering Russian assets of almost \$300 billion and instantaneously severing the country's access to the circuits of global finance, the US inadvertently sent a signal to the rest of the world: "Today it was the Russians, tomorrow it could be any of you!" The message was received loud and clear by oligarchs not only in countries inimical to the US but also in Saudi Arabia, various emirates, Indonesia, Malaysia, and even Ukraine.

Almost immediately, they began to seek hedging strategies. It was then that they focused on the technologically brilliant but barely used payments infrastructure that China had assembled: its central bank digital currency, its constantly upgraded Cross-border Interbank Payment System, the blockchain-based BRICS Pay (an alternative to the clunky SWIFT messaging system), and even WeChat.

None of these developments spell the dollar's decline per se. Indeed, several BRICS+ countries increased their dollar reserves while also dallying in non-dollar payment and debt-raising schemes. But taken together, these developments, boosted by the Hormuz double blockade, foreshadow the rise of an alternative financial architecture that is not controlled by the US and in which Europe is spectacularly irrelevant.

So, while the Iran war is not America's Suez moment, it may well turn out to be America's Gallipoli moment. It was on that peninsula in the Dardanelles where, in 1915, the British Empire overreached disastrously—underestimating the tenacity of a weakened regime, overestimating its own military capacity, and demonstrating stupendous strategic confusion. Sound familiar?

25. How Strategic Investment Is Redefining Economic Statecraft

Author: Lars Frølund | **Date:** Apr 15, 2026 | **Original:** <https://www.project-syndicate.org/commentary/fund-of-funds-approaches-are-reshaping-global-tech-race-by-lars-frolund-1-and-fiona-murray-2026-04>

BOSTON—Funds of funds (FoF) are increasingly used to shape how governments practice economic statecraft. When designed well, they pool capital to invest in venture funds rather than directly in individual companies or securities, strengthening innovation ecosystems while steering investment toward strategically important markets, capabilities, and technologies. But when poorly designed—as they often have been—these structures reproduce the all-too-familiar failures of politically captured investment programs.

Over the past three decades, public FoFs have been used primarily as instruments intended to attract private investors into early-stage venture capital markets, particularly in countries with limited domestic capacity. The best-known example is Israel's Yozma program, launched in 1993, but similar approaches were later adopted by Australia's Innovation Investment Fund, the European Investment Fund, and the Saudi Venture Capital Company (SVC). Each used the FoF model to expand the supply of risk capital.

That era is now coming to an end, as governments increasingly use FoFs to direct capital toward critical national capabilities and strategic (often dual-use) technologies, screen out hostile or high-risk investors, and build innovation capacity at home and in allied countries. The United Kingdom's National Security Strategic Investment Fund and Denmark's 55 North quantum fund are prime examples. At the multilateral level, the European Investment Fund's European Tech Champions Initiative and the NATO Innovation Fund (backed by 24 members) both reflect this shift.

As a result, the question is no longer whether governments should use FoFs to advance economic statecraft, but how to design them so that national-security priorities do not erode market discipline, and commercial logic does not undermine strategic goals. Several design principles, drawn from our experience and research, can help governments strike that balance.

First, effective FoF strategies require a clearly articulated dual mandate, comprising a coherent economic security objective and a credible commercial framework, anchored in enforceable structural constraints.

As part of their security mandate, FoFs should focus on strategically important sectors, such as AI, semiconductors, and autonomous systems, while clarifying whether the technologies are intended for defense, civilian capabilities, or both. They should support only companies that conduct research and development and maintain meaningful manufacturing activity in the target countries, rather than simply being legally domiciled there. For example, the support provided by Denmark's Export and Investment Fund to the 55 North quantum fund highlights the government's technological and security priorities.

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On the commercial side, clear return targets for both FoFs and the underlying funds are needed to prevent security priorities from becoming an excuse for weak performance. They should also require minimum levels of private investment to ensure that private investors share risk and gradually take on a larger role as capital markets in priority areas mature.

Governments should also make the trade-offs they are willing to make between economic security goals and financial returns explicit from the outset, rather than allowing them to emerge later as political compromises. Over time, this balance may shift as private capital markets become capable of sustaining ecosystems on their own, or as some sectors strengthen while others emerge, requiring support on economic-security grounds.

Israel’s Yozma program is a prime example, capping the state’s share of returns and allowing private investors to buy the government’s stake in successful funds. SVC took a different approach, waiving much of its carried interest to support ecosystem development, while the NATO Innovation Fund spreads its investments across multiple markets to strengthen capacity among member countries.

Second, governments must build security safeguards into the investment chain by ensuring that FoFs, underlying funds, and portfolio companies all operate within a framework that protects sensitive technologies and limits adversarial influence. In practice, FoF investment teams should hold appropriate security clearances, and in sensitive sectors, at least one general partner in each underlying venture fund should be vetted so that national-security authorities have a trusted point of contact. Effective security integration also means setting clear limits on adversarial capital, requiring investors to disclose the sources of limited-partner and co-investment funding, and scrutinizing portfolio companies to identify opaque ownership structures and flag potential risks.

Moreover, FoFs can use their position as anchor investors to shape the policies of the venture funds they support. The NATO Innovation Fund, structured as a private investment vehicle but backed by allied governments, requires strong due diligence and transparency from the funds it selects, setting an effective security benchmark for investors across Europe’s defense, security, and resilience ecosystem. Such measures should become standard practice rather than special conditions applied only to a few funds.

Lastly, well-designed FoFs can help establish and strengthen alliances. In a global economy defined by international innovators, intertwined supply chains, and cross-border capital flows, security cannot rely solely on national programs. FoFs are uniquely suited to operationalizing coalition strategies by linking allied economies while disentangling them from adversarial ones.

Multilateral platforms like the European Investment Fund’s regional vehicles show how pooled capital can align incentives across borders while spreading the costs of building strategic technological capacity. Similarly, the NATO Innovation Fund, by supporting FoF portfolio companies alongside its

direct investments, helps build shared and interoperable defense and security capabilities among allies.

FoF efforts, however well designed, will fail if they focus solely on early-stage innovation. Ukraine's early reliance on Chinese components, which limited its ability to capitalize on its own investments in drone innovation, should serve as a cautionary tale. True leverage lies not only in who invents new technologies but also in who controls large-scale production and critical supply chains.

For this reason, governments should consider expanding the FoF approach to support credible plans for scaling up manufacturing and facilitating investments in underlying supply chain capabilities and technologies. For example, government FoFs can back funds that finance the costly process of scaling up strategic industries, from semiconductor manufacturing to quantum hardware and advanced materials. Crucially, these strategies should align with other government measures, including coordinated public procurement, export controls, and subsidies.

FoFs are more than financial structures; they are a way for governments to connect capital, technology, and geopolitical power. When designed poorly, they risk sacrificing scarce public resources to the illusion that a handful of branded funds can substitute for the hard work of developing industrial capacity and sustaining long-term alliances. But when carefully designed, FoFs can help governments build resilient and strategically aligned innovation ecosystems without sacrificing market discipline.

26. The Great Hungarian Reset

Author: Piroska Nagy Mohácsi | **Date:** Apr 14, 2026 | **Original:** <https://www.project-syndicate.org/commentary/peter-magyar-first-test-is-the-economy-by-piroska-nagy-mohacsi-2026-04>

BUDAPEST—Péter Magyar’s landslide victory over Viktor Orbán in Hungary is nothing short of extraordinary. Two years ago, Magyar’s political party, Tisza, did not even register in the public’s mind. Now it has secured a constitutional majority that may well allow it to uproot the entrenched system of “illiberal democracy” that Orbán built over the past 16 years.

The result has implications far beyond Hungary, and even far beyond Europe. For Hungarians, it represents a clear rejection of what many had come to regard as a mafia state, marked by centralized power, slavish media, and systemic corruption—led by Orbán’s family (his son-in-law is now one of the country’s richest men). Under Orbán, Hungary’s orientation became increasingly anti-European and pro-Russian, endangering its national security and the security of the West more broadly.

Magyar’s victory also demonstrates that democratic systems can correct themselves despite institutions being hollowed out and power appearing immovable. Even a semi-authoritarian system can, it seems, be challenged and ultimately overturned under the right conditions.

Several lessons are now clear for other countries confronting predatory states built up by populists in power. First, political leadership matters. A successful challenge requires a figure who combines political skill with insider knowledge. Magyar’s former proximity to the system (he was a relatively minor figure in Orbán’s own party) gave him credibility and insight into the ways the government might manipulate the election.

Second, centrism is not a sign of weakness, but the anchor for a winning strategy. By avoiding extremes and appealing to moderates on both sides, Magyar was able to cobble together a winning coalition from an otherwise fragmented opposition.

Third, state control over traditional media is no longer decisive if challengers can find new channels for reaching the public. Hungary’s media landscape has long been dominated by pro-government outlets, making conventional campaigning for anyone but the incumbent a non-starter. But Magyar devised a strikingly simple workaround: he went directly to the electorate, embarking on a year-long tour of the country. By engaging directly with voters in small towns and villages, he created alternative channels of communication and rebuilt trust.

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Fourth, external endorsements can backfire, because voters are highly sensitive to such interference. By dropping in to campaign for Orbán, US Vice President JD Vance may have done more harm than good.

Lastly, the European Union matters. EU membership played an important background role in sustaining Hungary's democratic resilience, because it provided a framework for preserving democratic contestation (even though it cannot substitute for domestic political mobilization).

Now that he has won, Magyar's first big test concerns the economy. His government is inheriting a fragile macroeconomic environment marked by weak growth, low investment, and a business climate burdened by a legacy of corruption, favoritism, and extensive, often unpredictable government interventions. A wide array of administrative measures—price and margin caps, sector-specific taxes, and ad hoc regulatory changes—have distorted market signals, discouraged investment, and eroded confidence. Real-estate prices are high and rising, owing to the outgoing government's ill-focused housing schemes.

At the same time, fiscal imbalances are significant. The deficit is expected to reach 5.5–6% of GDP this year. With public debt already elevated, there will be limited policy space to buffer economic shocks. A major short-term risk is the country's high dependence on Russian energy—a vulnerability that the Kremlin will likely try to leverage.

But the outlook is not entirely negative. Inflation has come down from previously high levels, the current account is broadly balanced, and international reserves have been built up to comfortable levels. The financial sector is stable and profitable, despite being burdened by ad hoc tax measures. These factors provide a narrow window for the new government to pursue a policy reset, with an eye toward restoring the state's credibility.

That will require a focused and pragmatic economic program. The most immediate priority is to unlock the EU funds that have been frozen because of Orbán's rule-of-law violations. Magyar's commitment to join the European Public Prosecutor's Office is a critical step, signaling a break with past governance practices. Constructive engagement with EU partners—including his pragmatic stance in support of Ukraine—should be reassuring.

Second, the government should undertake a rapid, transparent review of Hungary's fiscal position, ideally by involving independent institutions or external partners such as the International Monetary Fund. Establishing a clear picture of the fiscal "patrimony" is key to designing a credible adjustment program and delivering on election promises. It also should allow for targeted expenditure cuts—starting with politically motivated subsidies and spending on propaganda—while protecting and redirecting resources toward priority areas such as health and education.

Third, dismantling market-distorting interventions must begin immediately. Price caps, margin controls, and other administrative measures should be eliminated, with clear communication to head off inflationary pressures. Restoring a rules-based, market-oriented framework is essential to rebuild confidence and revive private investment.

Finally, the government should anchor its strategy in a clearer upfront commitment to adopt the euro. While that cannot happen overnight, sending the right signal will eliminate some sources of

uncertainty, reinforce fiscal discipline, strengthen institutional credibility, and align Hungary more firmly with its European partners.

At the same time, prompt, large, and pragmatic support from European partners and the EU will be critical. This is not the time for Europeans to “double down” with demands on Hungary, as some senior EU officials were quoted saying in light of the new government’s constitutional majority. Rather, this is the time to deliver on key demands on both sides—fast.

The broader implication is clear. Electoral democracy, even when constrained, can still function as a mechanism of accountability. But it doesn’t happen automatically. It requires leadership, strategy, and sustained interaction with voters. Democracy cannot defend itself; only civic-minded politicians and engaged citizens can do that.

27. Will the IMF Ever Learn?

Author: Timothy Kaldas | **Date:** Apr 13, 2026 | **Original:** <https://www.project-syndicate.org/commentary/imf-spring-meetings-opportunity-to-reform-lending-practices-by-timothy-kaldas-2026-04>

WASHINGTON, DC—This year’s International Monetary Fund Spring Meetings come at a time of heightened economic uncertainty and intense scrutiny of the institution’s capabilities and approach. Critics on the left argue that the IMF imposes regressive austerity measures on borrowers, exacerbating poverty, hampering economic growth, and undermining their ability to achieve debt sustainability. On the right, US President Donald Trump’s administration has accused the IMF of “mission creep,” claiming that it has strayed from its core mandate of maintaining macroeconomic stability.

While not all these criticisms are valid, the IMF itself recognizes that reform is essential. Its researchers have already identified crucial changes, and its leadership has acknowledged them. But the Fund has been slow to put them into practice.

The Fund’s 2016 findings on austerity are a case in point. A decade ago, IMF economists showed that cutting public spending during a crisis exacerbates inequality, harming both the “level and sustainability of growth.” A key reason has to do with “fiscal multipliers”: the impact of changes in government spending on GDP.

As the World Bank has shown, spending on social-protection programs, such as cash assistance to the poor, can deliver enormous returns, with every dollar spent adding \$2.50 to the local economy. The dynamic is clear: low-income households spend the money they receive on goods and services, prompting businesses to expand and hire more workers, who then increase their own spending. But the inverse is also true, as every dollar cut from social spending removes \$2.50 from the economy.

Yet austerity remains central to IMF programs. As a result, growth consistently falls short of the Fund’s forecasts—in other words, the stricter the austerity, the wider the gap. The debt sustainability assessments on which IMF programs rely thus often prove to be inaccurate, leaving countries that comply with the Fund’s demands in need of additional emergency financing.

Similarly, IMF Managing Director Kristalina Georgieva has called for higher taxes on the rich, explaining that progressive taxation is governments’ most effective tool for financing state budgets and reducing inequality without hurting growth. By contrast, regressive taxes like value-added taxes (VAT) undermine growth by increasing inequality, weakening consumption, and discouraging investment and job creation. Despite these findings, much of the IMF’s official policy advice still promotes regressive tax measures for low- and middle-income countries.

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This gap between principle and practice is also evident in the IMF's limited understanding of politics and political economy. A whopping 85% of the Fund's mission chiefs report that political issues are the "principal barrier" to implementing IMF policy advice, yet the institution continues to hire only economists. Its lack of political expertise and country-specific knowledge is therefore a matter of policy, not an oversight.

To see the IMF's failures in action, one need look no further than Egypt. After entering four successive IMF programs over the past decade, the country is now the Fund's third-largest debtor in absolute terms, with \$9.4 billion in outstanding debt. In exchange for these loans, the government cut universal social-protection systems, reduced social spending, and raised regressive taxes such as VAT and customs duties.

What Egypt did not do—at least initially—was tackle the massive network of military-owned enterprises that deters private investment and drains public resources. The IMF did not know enough about Egypt's political economy to incorporate this issue into its early lending programs. It was only in 2022, after lending Egypt \$20 billion over six years, that the Fund finally began to impose conditions on military-owned companies.

For the most part, the IMF stuck to its traditional approach, with predictable results. Austerity and tax measures increased poverty, depressed domestic demand, and caused the private sector to shrink in 106 of the past 120 months. Egypt's GDP shrank from \$351 billion in 2016 to \$349 billion in 2025, even as the population grew by 30%. Meanwhile, external debt tripled. Last year, Egyptians were the second-largest group of undocumented migrants arriving in Europe, a reflection of rising poverty and the country's lack of job opportunities.

Macroeconomic stability depends on debt sustainability, which in turn requires robust, inclusive, and sustainable growth. To fulfill its mandate, the IMF must therefore design country-specific, politically sensitive programs that incorporate its own findings about what drives—and undermines—growth. Rather than imposing austerity, such programs should seek to leverage public investments in social protection and essential services. They should also include progressive taxes, along with measures to strengthen governments' tax-collection capacity.

The decennial Review of IMF Program Design and Conditionality, which is now underway, presents an opportunity for the Fund to abandon outdated and counterproductive policy prescriptions and put its money where its research is, adopting the evidence-based approach that its own staff and leadership acknowledge is needed. Amid rising economic volatility, the timing could hardly be more critical. The IMF and its shareholders must not let it pass.

28. The Iran War Has Ended a Year of Economic Promise

Author: Eswar Prasad | **Date:** Apr 10, 2026 | **Original:** <https://www.project-syndicate.org/commentary/iran-war-has-harmed-major-economies-growth-prospects-by-eswar-prasad-and-caroline-smiltneks-2026-04>

ITHACA—Before Donald Trump launched his war of choice on Iran, the world economy was poised for a year of decent growth despite structural headwinds resulting from trade-policy volatility, rising public debt levels, and geopolitical fragmentation. The latest update to the Brookings-FT TIGER (Tracking Indexes for Global Economic Recovery) shows that financial markets were booming in many countries, and that private-sector confidence was recovering. Moreover, the US Supreme Court's ruling against Trump's "Liberation Day" tariffs was a positive omen for world trade, even if it did not ensure a predictable path forward.

But the Iran war has thrown the world economy off track and will almost certainly lead to a spike in inflation. How long that spike lasts, and whether growth will be dented substantially, depends on how quickly the war ends. The lack of a resolution to the conflict in the next few weeks, combined with the possibility that the war could engulf broader swaths of the Middle East, poses a substantial danger to the global economic outlook.

The two key questions, then, are whether the war will end relatively soon and without further substantial damage to energy infrastructure in the Gulf; and whether it will end in a way that allows for durable regional peace. Because the situation remains highly fluid, we will focus on the underlying sources of pre-war growth momentum in major economies, as this provides a baseline for evaluating how seriously the war could affect macroeconomic prospects.

For its part, the US economy seemed to be on track for another year of healthy growth, despite some indications of slowing labor-market momentum. Inflation had stabilized, albeit at a level above the US Federal Reserve's 2% target, and strong consumer spending, continued investment in AI, and rising productivity were powering the economy and stock markets. Yet now, the Iran war presages a further increase in deficit spending and federal debt, with Treasury bond yields rising significantly as a result. The dollar, which had weakened somewhat earlier in the year, has strengthened as investors search for safety.

Economic performance in the eurozone remained uneven as this year got underway. France continued to struggle with a budget overhang, turbulent politics, and weak consumer spending, while Germany was set for a modest recovery, but with private-sector confidence still fragile. The Netherlands, Italy, and Spain had stronger growth momentum. But eurozone countries' dependence on imported energy and robust foreign demand for their own exports leaves them vulnerable to price hikes, which could stunt growth or perpetuate a broader global downturn.

Japan, also a major energy importer, confronts a similar set of challenges, including the possibility of higher inflation, especially if the yen continues to weaken. The United Kingdom remains beset by

falling private-sector investment, as well as weak consumer spending and productivity growth. Neither country has much room to use fiscal policy to soften the blow from higher energy prices.

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Then there is China, whose economy showed signs of stabilizing earlier this year. Exports were still the main growth engine, but domestic consumption, investment, and industrial production were beginning to pick up. China's fossil-fuel reserves, combined with its progress in adopting cleaner alternatives, are likely to shield it temporarily from the worst effects of energy-price hikes.

China also has room to leverage both monetary and fiscal policy to buffer the shock in the short run. But its government has shown no urgency in addressing deep-rooted problems in real estate, financial markets, and the structure of public finances, not to mention an unbalanced growth model characterized by weak household consumption.

India appeared poised for another year of banner growth with low inflation, disciplined fiscal policy, and a resurgent manufacturing sector; but these trends are now in doubt. India's dependence on imported energy leaves its consumers and manufacturers highly vulnerable to price spikes—worries that are reflected in a sharp depreciation of the Indian rupee and falling equity prices. At the same time, rising oil prices could provide a boost to the Russian economy, which might have the side effect of prolonging the war in Ukraine, adding to geopolitical instability.

Finally, the Iran war has dealt a particularly severe blow to low-income economies, many of which had seemed poised for a breakout year of growth. These economies depend heavily on imported fertilizer, oil, and gas, and roughly half of their household expenditures go to food and energy. Since most lack policy space, the spike in energy and food prices will severely damage their growth prospects.

This is an extraordinarily challenging time for policymakers, all of whom are looking for ways to shield their economies and citizens from the economic impact of the war. Central bankers, in particular, are caught in a difficult bind as they weigh the twin risks of a prolonged spike in inflation and weakening growth.

Many major advanced economies' public finances are already strapped. High fiscal deficits and debt levels leave little room for maneuver, and rising interest rates in some countries are making matters worse by adding to governments' debt-service costs. With economic and geopolitical instability having become the new normal, the Iran war highlights the importance of maintaining policy buffers and investing in economic resilience.

29. Africa Is Losing the Iran War

Author: Yemi Osinbajo | **Date:** Apr 10, 2026 | **Original:** <https://www.project-syndicate.org/commentary/iran-war-costs-for-africa-confirms-global-financial-architecture-is-broken-by-yemi-osinbajo-2026-04>

ABUJA—Like wildfires, wars in the Middle East rarely remain contained. Africans have learned this lesson many times, and we are doing so once again. As missiles fly and oil infrastructure smolders, a quiet catastrophe is unfolding across our continent. It can be measured not in battlefield casualties, but in empty fuel pumps, unaffordable bread, and fiscal balances stretched to the breaking point.

The latest geopolitical crisis is not some distant phenomenon. It is right in front of us, visible in government budgets and on our dinner tables. Many African economies are net importers of oil and gas, which leaves them highly exposed to any disruption in Middle Eastern supply chains. But even oil producers like my own country, Nigeria, are not insulated. Domestic gasoline prices have already risen by 50% as the costs of shipping insurance multiply and capital flees to perceived safer markets.

Nor are the consequences confined to the pump. About one-third of global seaborne trade in fertilizers passes through the Strait of Hormuz. Prices have already surged by more than 40%, just as the planting season has arrived in West and Central Africa. If fertilizers are not applied now, harvests will fail.

In India, the world's second-largest fertilizer consumer, the government is scrambling to secure emergency supplies ahead of the country's June sowing season. Yet most African governments lack India's fiscal buffer or diplomatic leverage. They have no Plan B, other than bracing for lower yields, higher food prices, and more hunger. Faced with that prospect, governments will do what they always do: deploy subsidies to shield consumers from the steepest price hikes. But this will be expensive, because governments will be forced to borrow at punishing interest rates.

With debt-servicing costs already high, this dynamic is becoming one of the cruelest features of the war's global fallout. Hopes for lower interest rates have evaporated as inflationary pressures have persisted. Yet African economies cannot rely on concessional lending at scale. They must borrow at market rates, which are now climbing. Research shows that 12 developing countries—including Kenya, Ghana, Côte d'Ivoire, and Egypt—are simultaneously facing rising borrowing costs and above-median debt payments due this year: a double bind that leaves no room for error. Private capital is retreating just when investment in sustainable agriculture, energy, and industry is most urgently needed.

Making matters worse, Gulf capital—which had recently become a meaningful source of financing for African development—will now dry up as Gulf Cooperation Council governments redirect resources toward reconstruction and military expenditure. That means Africa loses twice: once from the shock, and again from the withdrawal of the financing that might have cushioned it.

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There is a bitter irony here. Many have pointed out that Africa contributed very little to climate change, but is expected to shoulder a disproportionate share of the costs. Now we are absorbing the costs of yet another global problem we did not cause, and the escape route—ending fossil-fuel dependencies through an accelerated transition to renewable energy—is being closed off.

Although solar and wind farms have become cheap when calculated over their lifetime, the upfront financing required to build them at scale remains out of reach for countries already struggling to service existing debt. The current financial system's unforgiving math means that the countries most exposed to fossil-fuel shocks are the least able to invest in the alternatives.

We have been here before. The COVID-19 pandemic exposed the same structural vulnerabilities. But many assumed that such crises were exceptional and manageable. We should have drawn a different lesson: the system itself is broken, and every new shock simply compounds the damage caused by the last one. Kicking the can down the road had consequences that we are dealing with today.

What can be done? At the African Leaders Debt Relief Initiative, we have long argued for a two-track approach. For the most heavily indebted countries, nothing short of comprehensive debt restructuring will suffice. These governments need a predictable, fair, and inclusive process to bring all creditors—bilateral, multilateral, and private—to the table. The G20 Common Framework was a start, but it has proven too slow. Countries cannot wait years for relief.

The second track applies to all developing countries, whose cost of capital must come down. Multilateral institutions can help with credit enhancements, guarantees, and debt suspension mechanisms. But while these tools would give governments enough headroom to invest, rather than merely to survive, they have not been deployed at scale.

That needs to change, and a portion of the freed-up fiscal space must be directed toward the energy transition. Renewable infrastructure is not a luxury. It is a strategic hedge against exactly the kind of shock Africa is absorbing today. Countries that generate their own energy from sun and wind cannot be held hostage by distant conflicts or volatile commodity markets.

The current moment, for all its horror, offers an opening. It has made visible a problem that many preferred to ignore: the international financial architecture is not fit for a world of cascading shocks, tightening fiscal constraints, and rising human need. When this basic truth becomes undeniable, reform becomes possible. The continent cannot keep absorbing the costs of a system it had no hand in designing, nor should it be denied the financing it needs to build its way out of vulnerability.

30. How to Understand Emerging Risks

Author: Françoise Gilles | **Date:** Apr 10, 2026 | **Original:** <https://www.project-syndicate.org/commentary/ai-changing-nature-of-risk-by-francoise-gilles-2026-04>

PARIS—Across centuries of experience and data collection, the insurance industry has developed an unmatched understanding of risk. It is the raw material that insurers analyze, price, and manage to help individuals and organizations navigate life’s many uncertainties. Understanding and anticipating risks, therefore, is crucial to remaining relevant, resilient, and capable of fulfilling insurers’ core mission: protecting society from the unpredictable.

But the nature of risk is changing at an unprecedented pace, owing to rapid societal, technological, environmental, and political changes. That means that it is increasingly important to understand “emerging risks”—those that are either new or already known but difficult to quantify in terms of frequency and potential losses.

Emerging risks are often interconnected and shaped by innovation, social changes, and natural hazards. For example, a new technology may lead to sweeping regulatory responses, workforce challenges, or reputational harm for some firms. Similarly, environmental events can cascade into infrastructure failures, health crises, and financial losses, creating ripple effects that threaten stability across sectors. Insurers are no longer just managing known risks; they also must anticipate and prepare for looming risks that are not yet fully known or understood.

But sometimes, emerging risks are older risks that have taken a new form or are appearing on a different scale. For example, in the past, heatwaves were treated as environmental risks with implications that were largely thought to be confined to agriculture and some physical infrastructure. But now, heatwaves’ known effects also include mental-health stresses, workplace productivity losses, and strains on digital infrastructure and energy systems.

Another feature of emerging risk is fundamental uncertainty. Whereas traditional risk management relies heavily on historical data and statistical models to assess “known knowns,” emerging risks often fall into the category of “known unknowns” or even “unknown unknowns” for which historical data are incomplete or non-existent.

For these risks, the objective must shift from prediction to preparedness. Horizon scanning, expert consultations, scenario analysis, and other forecasting tools can help detect early signals of emerging risks, identify overlooked vulnerabilities, and support informed decision-making before damages mount.

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Thus, emerging-risk management typically follows a structured pathway from detection to action. Detection aims to identify signals—including research breakthroughs, regulatory developments, technological innovations, and societal trends—across multiple domains. Then comes assessment, which seeks to understand the relevance, uncertainties, and potential effects of the detected signals. At this stage, organizations evaluate how risks might affect operations, reputation, and financial stability.

The next stage is prioritization, where decision-makers try to ensure that their finite resources are allocated to the most strategically significant risks. Given the vast number of emerging risks, organizations must determine which require deeper analysis or immediate response. Finally, effective risk management must translate insights into concrete action, which includes everything from strengthening monitoring and raising internal awareness to risk avoidance or mitigation and identifying business opportunities.

Emerging risks affect insurers in two related ways. Internally, they bear on workforce dynamics, skills requirements, operational continuity, and employee well-being. Externally, they shape clients' evolving risk exposures, new protection needs, and expectations toward insurers. Understanding this duality helps insurers position themselves not only as risk carriers but as active partners in managing uncertainty. According to the AXA 2025 Future Risks Report, 72% of survey respondents worldwide believe that insurers will play an increasingly vital role in protecting against emerging risks.

Chief among current emerging risks is AI, which could simultaneously transform operations, create new vulnerabilities, and reshape societal expectations of insurers. The technology is evolving rapidly, scaling quickly, and disrupting everything from cybersecurity and data privacy to decision-making processes, reputational risk management, and broader issues like misinformation and social fragmentation.

Internally, AI can improve operational efficiency and customer engagement, but it also creates vulnerabilities, such as an overreliance on automated decisions, trust issues, and accountability gaps. Externally, clients face exposure to liability risks, privacy breaches, and AI-enabled fraud. The uncertain long-term societal and ethical implications add complexity, requiring detailed scenario analysis to understand potential future risks and benefits.

But AI also offers significant opportunities. It can enhance risk assessments; support predictive capabilities; strengthen the work of actuaries, underwriters, and claims managers; deliver hyper-personalized customer engagement; and improve productivity.

For now, organizations will give immediate attention to risks related to data privacy and regulatory compliance, since these could threaten reputational and legal harm. Risks from operational overdependence would then fall into the bucket of medium-term concerns. But these cut both ways, because neglecting AI's strategic potential—failing to harness it for efficiency, better risk assessment, and personalized services—would result in missed opportunities and a loss of competitiveness.

Any AI action plan, therefore, must strike a balance between managing risks and seizing opportunities. It must strengthen governance frameworks to ensure transparency, accountability, and ethical use; and it must leverage AI to enhance risk assessment, operational efficiency, and customer experience.

We are not destined to be passive witnesses to the irreversible effects of natural forces or human choices. By understanding emerging risks—and emerging opportunities—the insurance industry can continue to fulfill its crucial economic role and confidently navigate the future.

31. America's War Is Adding to Africa's Debt Burden

Author: Vera Songwe | **Date:** Apr 9, 2026 | **Original:** <https://www.project-syndicate.org/commentary/americas-iran-war-adding-to-africas-debt-burden-by-vera-songwe-2026-04>.

WASHINGTON—One month of war in Iran has added nearly \$4.4 billion to Africa's annual debt burden, enough to build a gigawatt of solar power or 400 kilometers (250 miles) of railway. Yet, as is often the case, this hit to Africa's finances is not due to new borrowing but rather to the rising cost of capital. With \$149 billion in African Eurobonds outstanding, the combined effect of climbing US Treasury benchmarks and widening risk premiums has been to drain between \$900 million and \$1.2 billion annually from budgets already stretched to the breaking point.

Moreover, the war has invalidated the assumption that investors rush to safety during a crisis, which has long underpinned global bond markets. Traders initially reached for US Treasuries, but within 48 hours, the markets turned. The ten-year benchmark rose from 3.96% to 4.43% in March, an increase of 12%, and the two-year yield surged by 39 basis points as markets pivoted from pricing in two rate cuts by the Federal Reserve to pricing in possible hikes. Rather than offering shelter, US government bonds were part of the broader fire sale.

This is the opposite of what we saw during the COVID-19 pandemic. That shock was deflationary: oil collapsed to \$20 per barrel, the Fed slashed rates to zero, and Treasuries rallied, with yields falling by 140 basis points, as bonds cushioned equity losses. The United States was the undisputed safe haven.

In March, Wall Street had its worst month since 2022, with US bonds and equities falling in lockstep. With the US no longer seen as a neutral safe landing zone, its bonds are being sold off like those of an emerging-market economy. For African sovereigns whose borrowing architecture is based on US Treasuries and listed in London, that is alarming.

To be sure, the widening in African sovereign yield curves since February is a fraction of what happened during the pandemic, when yields soared by 200-600 basis points in a single month. But for all African countries, the real danger lies in US Treasury movements. When these rallied 140 basis points during COVID-19, they pulled Africa's borrowing costs down, even as spreads widened. But this time, the benchmark itself is rising—by 44 basis points and counting—compounding the damage rather than cushioning it.

As a result, some countries are facing a renewed liquidity crisis. Kenya, for example, recently spent two years executing textbook liability management: buying back expensive bonds, extending maturities, securing a standby program with the International Monetary Fund, and earning a Moody's upgrade to B3. Ghana clawed its way back from default, re-entered capital markets, and rebuilt its reserves. Côte d'Ivoire earned BB-range ratings through disciplined debt management and targeted investments, re-entered international markets, and secured resources to reprofile its debt on better terms. And Cameroon recently tapped international markets for the first time in years.

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At the start of this year, all four also rushed to issue debt to lock in rates before the window of opportunity closed, which they did before the war began. Yet now, their yields are 45–75 basis points higher than they were a month ago. Every basis point of dollar strengthening makes their existing debt more expensive to service.

These are not reckless borrowers. They are reformers caught in a liquidity trap caused by someone else’s war, someone else’s currency, and someone else’s highly concentrated bond market.

Three structural shifts could break the pattern of vulnerability that this crisis has exposed. First, African countries must diversify their borrowing. African Eurobonds are overwhelmingly listed in London and Dublin, with prices based on US-dollar benchmarks. When US policy decisions drive Treasury yields higher, every African sovereign pays the price.

There is a strong case for alternatives. Hong Kong’s Hang Seng Index has outperformed the S&P 500 in the first 30 days of the Iran war. The Hang Seng has fallen by 6.3% from its February 28 level, while the S&P 500 has declined by 7.4%.

Meanwhile, the Dim Sum bond market (offshore renminbi-denominated debt) has seen issuance surge to record levels. Deutsche Bank estimates that CN¥1.4 trillion (\$196 billion) in Dim Sum bonds was issued in 2024, three times the 2022 level, with 2025 likely exceeding that figure, marking an eighth consecutive year of growth. These bonds delivered a 9.2% return in US dollar terms in 2025, with coupons of 2%–3.6% for one- to five-year maturities, roughly 200 basis points below comparable dollar-denominated bonds.

When Indonesia issued its first Dim Sum bond in late 2025, it attracted orders three times the offering size. If Southeast Asian sovereigns can tap Hong Kong, so can African sovereigns. African countries should also diversify into Samurai and Panda bonds.

Second, African governments should focus on building regional capital markets. Like Europe, which has worked to develop a single bond market through harmonized regulation and shared infrastructure, Africa has the building blocks it needs. The West African Economic and Monetary Union’s regional bond market experienced an 84% increase in issuances (reaching \$12.5 billion) in the first half of 2025, and South Africa’s domestic market already meets global standards. Looking ahead, the African Continental Free Trade Area can serve as a launchpad for capital-market integration, giving pension funds, commercial banks, and others across the region a viable regional alternative to dollar-denominated debt. African leaders must focus on scaling and integrating these initiatives.

Third, African governments must accelerate the transition to local-currency borrowing. Some 53% of all outstanding African corporate debt is denominated in US dollars—the very currency whose strengthening during every geopolitical crisis makes repayment more expensive. To alleviate this pressure, multilateral development banks should scale up local-currency lending facilities, and African

central banks must deepen their repo markets (ultra-short-term lending) and adopt policies to promote greater pension-fund participation in the economy.

In each case, the goal is not to abandon international markets but to diversify them and build more international, regional, and national resilience before the next global crisis erupts.

32. The Decline and Fall of the Dollar Empire

Author: Barry Eichengreen | **Date:** Apr 9, 2026 | **Original:** <https://www.project-syndicate.org/commentary/dollar-international-role-trajectory-resembles-roman-denarius-by-barry-eichengreen-2026-04>

SEOUL – There is angst in the air about the US dollar’s once and future global role. For insight into the greenback’s prospects, pundits have looked to the British pound sterling, the dollar’s predecessor as the dominant international currency, and asked how economic stagnation, heavy debts, and failed geopolitical adventures, like that in Suez in 1956, conspired to rob it of its global role.

But informed observers can draw on a much longer history of international currencies—units used in cross-border transactions—stretching from the Dutch guilder of the 17th and 18th centuries back to the Florentine florin of the 14th and 15th centuries and the silver denarius of ancient Rome.

In fact, it can be argued that the Roman denarius was the first true international currency. Hoards have been found not only throughout the former territories of the Roman Empire but also along the Silk Road from India and Sri Lanka to China.

The dates of these coin hoards coincide with the arrival in Europe of merchandise from these same parts of Asia, highlighting the importance of Rome’s trading prowess and commercial span in supporting its currency. The Romans had cargo ships of unprecedented size capable of long voyages. No surprise, they took their native coin with them.

Political unification of the Mediterranean Basin under Roman rule further encouraged commercial activity. This activity was regulated by Roman officials, backed by a formidable military, and facilitated by the availability of a stable and uniform money. To ensure quality, only the Roman authorities were permitted to mint silver and gold coin. Coinage was under the authority of the Senate, whose members received regular reports from the *tresviri*, junior magistrates overseeing the mints.

Reflecting this authority, the silver content of the denarius remained stable, in both weight and purity, for 300 years. Uniform coinage meant that merchants, when accepting payment, knew what they were getting. It allowed them to make payment without requiring physical movement of heavy and valuable coin or bullion. And, because coin could be provided in one place against sales and receipts in another, thereby avoiding the costs and risks of transporting precious metal, currency began to shade into credit, anticipating the development of modern financial markets.

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Thus, we see in Rome the core requirements for a widely accepted international currency: quality assurance, commercial prowess, a sophisticated financial system, political checks and balances, and

geopolitical security for the issuer.

The Roman case also reminds us that these prerequisites should not be taken for granted. The Roman state, as it aged, became more bureaucratic. The Republic's democratic traditions, which allowed the Senate to check excessive emission, gave way to rule by one man, whose imperial whims, including over money, could go unchecked.

The rule of law waned, and corruption grew pervasive, as property was increasingly concentrated in the hands of the politically connected. Provisioning a large army required levying taxes that absorbed as much as one-third of Rome's income, undercutting the empire's commercial activities. Heavy taxes encouraged evasion by large estate owners, in cahoots with functionaries (often large estate owners themselves) responsible for collecting the payments.

As a result, debasement—reductions in the silver content of the denarius—started under Emperor Nero, who churned out additional coin in a desperate effort to finance his ambitious program of canal building, as well as to reconstruct Rome following the great fire of 64 AD, build his extravagant 300-room Domus Aurea palace, and prosecute costly wars on multiple fronts. The *tresviri* were subordinated to central imperial authority.

Subsequent emperors followed Nero down this slippery slope. Older coins were hoarded or melted down as the economy was flooded with near-worthless new denominations. Within a couple of centuries, the international role of the denarius was no more.

It is not hard to hear echoes of this ancient history in current anxiety around the dollar. China has overtaken the United States as a trading power. President Donald Trump's tariffs are driving other countries into China's arms and encouraging them to cut preferential trade deals among themselves.

The US hasn't debased the dollar, but there is plenty of talk about the so-called "debasement trade," where foreign investors shift away from US Treasuries for fear that high government debt and threats to the independence of the Federal Reserve will erode the greenback's purchasing power. The country may be militarily secure, but the fiscal costs of unleashing that military in the Middle East only heighten worries about debt and dollar depreciation.

America does not have an emperor, but its politics are increasingly subject to rule by one man who threatens its democratic traditions. Institutionalized corruption has become the norm, not the exception.

Does this augur the fall of the American Empire, much as Nero's rule augured the fall of the Roman Empire? We don't need an oracle to know that none of these developments bodes well for the dollar.

33. The Fall of Gazprom

Author: Sławomir Sierakowski | **Date:** Apr 8, 2026 | **Original:** <https://www.project-syndicate.org/commentary/polish-energy-giant-orlen-versus-russias-gazprom-and-hungarys-mol-by-slawomir-sierakowski-2026-04>

WARSAW—Jakub Wiech, the former editor-in-chief of Poland’s *Energetyka*²⁴, recently mused that “there are three things you can watch endlessly: a fire burning, water flowing, and Gazprom being valued lower than Orlen.” In March, that observation became reality, as the Polish energy major’s market capitalization surpassed that of Russia’s leading state-owned energy giant for the first time. In this sense, Orlen’s rise and Gazprom’s fall offer a condensed history of modern Eastern Europe.

Just a few years ago, Gazprom’s valuation was more than 40 times higher than Orlen’s, reflecting the fact that it was no ordinary corporation. For decades, the Kremlin has relied on oil and gas revenues to finance Russia’s imperial state, with Gazprom’s revenues alone accounting for nearly 5% of the country’s GDP. Back in 2007, Gazprom was the world’s third-largest company, with a market capitalization exceeding \$330 billion and ambitions of reaching \$1 trillion within a decade. Since then, however, Gazprom’s market capitalization has fallen to just \$38.8 billion, roughly on par with an average European supermarket chain.

Gazprom is a textbook case of geopolitics sinking a company that once seemed indestructible. After Russian President Vladimir Putin launched his full-scale invasion of Ukraine in 2022, the European Union slashed imports of Russian gas, switching to liquefied natural gas (LNG) from the United States, Qatar, and Norway. Gazprom was left with pipelines leading to customers who no longer wanted to use them. Its diminished market value has nothing to do with the size of its reserves, but with the Russian state’s utter lack of credibility as a supplier.

The Polish government holds a 49.9% stake in Orlen, yet its trajectory has been anything but easy. It had to endure years of populist misrule under Jarosław Kaczyński’s Law and Justice (PiS) party, which often saw the company as an extension of its own campaign headquarters.

Consider the saga of Daniel Obajtek, whom Kaczyński promoted from his position as mayor of Pcim (a Polish “Nowheresville”) to serve as president of Orlen’s board. After PiS lost power in 2023, Obajtek fled to Hungary, yet still won a seat in the European Parliament while abroad, which he still holds despite losing his immunity against a 2013 indictment on corruption charges. During his tenure at Orlen, Obajtek sabotaged the company’s finances by lowering fuel prices to improve PiS’s chances ahead of the 2023 elections, and by purchasing billions of dollars’ worth of oil that somehow never made it to Poland.

Following Obajtek’s departure, the company recovered, climbing into the ranks of the world’s 600 largest companies and emerging as a leading player in the Eastern European energy sector, with revenues in the tens of billions of dollars. It is no longer just a refinery with gas stations, but an

integrated conglomerate controlling everything from upstream operations on the Norwegian Continental Shelf to refineries, power generation, and hydrogen projects.

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Notably, the market has rewarded Orlen not for its imperial ambitions but for its diversification and demonstrated ability to operate within European rules. Its LNG contracts with the US and Qatar, access to Norwegian deposits, and gas interconnections with Lithuania, Slovakia, and the Czech Republic have transformed Poland from a Gazprom customer into a regional energy-security hub. With yet another war-driven energy shock emanating from the Middle East, the company’s outlook has continued to improve.

Beyond Gazprom, it also helps to compare Orlen’s story to MOL, the Hungarian energy conglomerate. MOL also has an integrated oil and gas business with refineries, gas stations, and a presence throughout the region. It is the market leader in Hungary, Slovakia, and Croatia, and it operates upstream in more than a dozen countries.

Much like the Hungarian government under Prime Minister Viktor Orbán, MOL has been “hitchhiking” between East and West for years. After Russia’s invasion of Ukraine, it took advantage of the situation by purchasing cheaper Russian oil via the Druzhba pipeline, which it processed in its own refineries and then sold as “Hungarian” fuel on the European market. Formally, this was permissible because the EU had granted exemptions to several landlocked countries, including Hungary. But politically, MOL was operating in a gray zone.

Considered in isolation, this bet may have paid off in the short term, given that the company’s market capitalization has roughly doubled since 2021. But when compared to Orlen’s fivefold growth, MOL’s valuation is far from impressive, nor does it speak well for the Hungarian “in the EU, but against the EU” development model. In fact, foreign investors are fleeing Hungary as Orbán continues to block successive rounds of sanctions against Russia, provokes disputes with the European Commission, and reports on the EU to his friends in Moscow (and perhaps also Beijing).

The Gazprom-MOL-Orlen triptych reveals three different political-economic models. Gazprom represents imperialist populism. It sold gas like a drug dealer, and the market valued it as a state within a state, which worked in its favor until it didn’t. MOL represents transactional populism. Rather than building an empire, it lives shrewdly off political hooliganism: exploiting loopholes in sanctions, balancing between Europe and Russia, and circumventing rules and regulations.

Finally, Orlen represents European-style market liberalism. It is state-owned and thus exposed to potential politicization (as happened under PiS), but it respects the EU legal order and the supervision of EU institutions.

The differences are visible not only in the companies’ respective valuations but also in their home countries’ economic trajectories. In 2025, Poland recorded economic growth of over 3%, alongside relatively stable investment levels and a gradual decline in inflation. Meanwhile, Hungary flirted with

recession, and Russia has suffered from years of high inflation, a sharp decline in investment, and an outflow of human capital.

Under Putin, Russians have no choice about their future. But Hungarians do. Like Polish voters three years ago, they will soon decide whether what they have is what they want.

34. The Real Question About the AI Future

Author: Ricardo Hausmann | **Date:** Apr 8, 2026 | **Original:** <https://www.project-syndicate.org/commentary/what-world-economy-would-justify-ai-firms-market-valuation-by-ricardo-hausmann-and-andres-velasco-2026-04>

CAMBRIDGE/LONDON – Is the AI boom a bubble? No one can be sure. But one way to answer that question is to ask a more manageable (and more interesting) one: What kind of world economy would have to emerge for today's market valuations to make sense?

Consider the core group of firms at the center of the AI story: Nvidia, Alphabet, Apple, Microsoft, Meta, Broadcom, Tesla, OpenAI, Anthropic, SpaceX-xAI, and Amazon Web Services. Taken together, they embody a remarkable market wager. Under a conservative benchmark—that by 2036 these firms trade at price-earnings ratios of 20, earn net profit margins of 20%, and obtain 65% of their incremental revenue from abroad—in a decade they would generate roughly \$2.4 trillion in additional annual foreign revenue. Such revenue is roughly equal to all US goods exports today and over twice the US current-account deficit.

Granted, the United States will have to import some inputs (like semiconductors) to provide those AI services. And not all rents will accrue to Americans, because foreigners also hold shares in US tech companies. But the offset is likely to be small: foreigners reportedly own just 15–20% of the S&P 500 stock index.

These striking figures should prompt us to rethink much of today's global macroeconomic debate. For years, discussion of global imbalances has revolved around a familiar concern: how long can the US continue to run large external deficits? But if markets are even approximately right about AI, the more urgent question is how the rest of the world will pay for the growing claims of US-owned AI capital on global income.

This is a striking reversal. The world will not merely be asked to recognize America's technological lead. It will be asked to pay for it—year after year, and on a vast scale. Forget the broad-based industrial export surge President Donald Trump keeps promising; the world's payments will be to a relatively small group of firms that control the large language models, chips, cloud infrastructure, software ecosystems, and complementary platforms on which the AI age depends.

How exactly is the rest of the world supposed to pay?

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Countries pay for imports with exports of goods and services, investment income, asset sales, or borrowing. But the US is moving toward greater protectionism, making it harder for foreign economies

to earn the dollars needed to buy American goods and services. That creates an obvious contradiction. The US cannot expect the world to transfer vast sums to its AI champions while also restricting the channels through which the rest acquire purchasing power.

This tension has far-reaching political implications. Silicon Valley and Trump's MAGA movement may be part of the same domestic political coalition, but their interests are fundamentally misaligned. If the valuation of America's leading AI firms depends heavily on future foreign revenue growth, then for them access to foreign markets is not incidental—it is central. And foreigners who are expected to buy American AI products and services at unprecedented scale must also be allowed to sell something in return.

That is not the end of the story: a massive expansion in American export supply can be accommodated only if the relative price of those exports drops—that is, if the terms of trade of the rest of the world improve vis-à-vis the US. That makes the political tradeoff faced by the MAGA coalition even less appetizing.

Seen from this perspective, much of today's trade debate already looks outdated. The obsession with bilateral deficits and tariff schedules seems oddly parochial—and increasingly irrelevant—when set against the prospect of trillions of dollars in recurring payments to a handful of American technology firms. If current valuations are broadly right, the next phase of globalization will center not on the US trade deficit but on the world's need to pay for access to US-owned AI infrastructure.

Then there is the question of taxation.

The rents implied by these valuations are enormous. And they accrue to firms that, taken together, today employ fewer than one million people. By this arithmetic, they hold \$23 million in market value per worker. This is not a story of broad-based job creation. It is a story of claims by a small group of people on the future income of the rest of humanity.

That makes taxation not just possible, but politically indispensable. The US government will want a share. State and local governments hosting data centers will want a share. And foreign governments will want a share. The current disputes over digital-services taxes may come to look like a mild prelude to a much larger struggle over who may tax AI rents.

And taxation matters directly for valuation. If these rents remain lightly taxed, then current prices may be vindicated. But if governments do what governments usually do when confronted with large, visible, and politically vulnerable rents, then one of two things must occur. Either these firms will have to generate even more pre-tax revenue and profit than we have assumed, or shareholders will ultimately receive less than current valuations imply. In the second case, the bubble interpretation becomes harder to dismiss.

There are also broader geopolitical implications. The rest of the world is unlikely to accept passively an arrangement implying very large recurring payments to a small number of US firms. Countries will try to reduce their dependence on America. They will subsidize domestic alternatives, impose local-hosting requirements, favor national champions in procurement, tighten competition policy, and devise new taxes and regulations aimed at clawing back some of the rents. If AI valuations are correct, we can expect not just an era of US corporate dominance, but also of mounting resistance to it.

Far from signaling the end of American power, this scenario points to a new form of it. In the 20th century, US power rested heavily on manufacturing scale, military reach, and dollar strength. In the 21st, it may rest increasingly on ownership of indispensable AI infrastructure. The challenge for the world will be how to pay for access to it. The challenge for the US will be to sell that infrastructure's services worldwide in the face of nationalist trade policies and the inevitable pressure to tax extraordinary rents.

Perhaps today's valuations are a bubble. Perhaps markets are broadly right about the technology but wrong about the politics and the taxation. Or perhaps they are correctly anticipating an economic order in which a handful of US firms captures an unprecedented share of global income. But if the latter scenario is what the future holds, then our public debate is focused on the wrong questions. The defining issues of the next decade will not be tariffs, deficits, or American decline. They will be how the world rewards US-based AI capital, how long protectionism can survive that reality, and who gets to tax the rents.

35. The Coming Inflation-Deflation Whipsaw

Author: Dambisa Moyo | **Date:** Apr 7, 2026 | **Original:** <https://www.project-syndicate.org/commentary/wartime-inflation-ai-deflation-new-macroeconomic-conditions-by-dambisa-moyo-2026-04>.

LONDON—We are living through a rare moment in which two powerful forces are pulling prices in opposite directions. Markets must grapple with both the immediate threat of higher inflation from geopolitical tensions and conflagrations, as well as the longer-term risk of AI-driven deflation.

At the start of this year, many forecasters expected oil prices to hover around \$50 per barrel, owing to what looked like relatively large inventories and flat global demand. Yet now, Brent futures have breached \$100, with some predicting prices as high as \$150.

The US-Israeli war with Iran has disrupted transit through the Strait of Hormuz, which generally accounts for around 20% of the world's 100 million barrels in daily demand. That makes this the largest oil-supply shock in the history of the global oil market. By comparison, the 1973 Arab oil embargo, the 1990 Gulf War, and the 2022 Russian invasion of Ukraine cut global supply by 7%, 6.5%, and 3%, respectively.

Not only have oil and natural gas prices risen well over 30% since the war began, but the shock has extended across the commodity complex, hitting everything from fertilizer (30% of which passes through the Strait) and the polyethylene (50%) used in plastics to helium (about 33%), a critical input for semiconductors, and thus for the AI revolution. Global shipping and insurance costs have also spiked, making the Iran war the biggest threat to maritime trade and supply chains since COVID-19. And because physical infrastructure is being destroyed, the effects could prove more persistent. Qatar estimates that rebuilding certain liquefied natural gas facilities could take as long as five years.

The longer-term ramifications of such losses are already showing up in revisions to the inflation and interest-rate outlook. The OECD is now forecasting 4.2% inflation in the US—more than 200 basis points above the Federal Reserve's 2% target. Higher inflation has obvious negative implications for businesses, whose margins will be compressed, and for consumers, whose real (inflation-adjusted) wages will be eroded.

Meanwhile, the market has gone from pricing in one or two Fed rate cuts this year to anticipating a possible hike. Of course, the Fed may treat the current energy-price shock as “transitory” and avoid tightening its policy; but it will also recognize that the broader disruption to commodity supplies could be prolonged.

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In any case, a rate hike would affect corporate capital-allocation decisions, debt issuances, and portfolio structures. The United States already has a debt-to-GDP ratio above 100%, and since its government bonds have relatively shorter maturities, it is more vulnerable to a fiscal crunch from higher interest rates.

Moreover, US 30-year mortgage rates have risen to over 6%, implying that the housing market could be severely affected in a higher-inflation scenario. Bond yields have risen and stock prices have fallen, though it remains to be seen how far these price adjustments will go (much depends on the length of the conflict and degree of infrastructure damage).

Ultimately, short-term price increases and concomitant rate hikes would fuel additional demand destruction (lower spending), possibly leading to a recession. Of course, the degree of pain would depend on how governments respond to the commodity shock, and how willing policymakers are to accept a fall in aggregate demand and the macroeconomic downturn that comes with it.

That brings us to the potentially deflationary medium- and longer-term outlook. As AI and related technologies advance, they could push down the prices of labor, commodities, and possibly even public goods such as education and health care. In fact, the prices of goods ranging from household furnishings and televisions to software and telecommunications services were already declining rapidly well before the arrival of large language models (as Mark J. Perry of the American Enterprise Institute showed in 2018). Now, AI promises to accelerate the trend.

Specifically, AI and AI-powered robotics could materially reduce the need for human workers. A recent Goldman Sachs report suggests that while the coming AI era may create new kinds of jobs, some 300 million full-time roles will be vulnerable in the meantime. Similarly, the venture capitalist Vinod Khosla (an investor in OpenAI) argues that AI will be capable of doing 80% of jobs by 2030, effectively automating a large portion of the \$15 trillion US labor market.

Even if the effect is nowhere close to that large, the second-order effects spurred by AI will be essentially deflationary. Higher technology-driven productivity and more labor-replacing robots will mean less disposable income and demand, and perhaps lower tolerance for massive corporate margins as governments face an expanding welfare bill.

Still, if AI can handle a greater share of production and services in agriculture, manufacturing, health care, and education, the cost of living would drop significantly. That is why Khosla asks us to imagine a substantial increase in purchasing power, where an income of \$10,000–\$30,000 in 2040 would enable the same standard of living as \$100,000 does today.

In such a deflationary environment, however, private and public debt burdens would explode. This points to a larger problem: other than the COVID-era supply-chain shocks, most investors and business leaders simply have not had a reason to think much about inflation or deflation. If we are indeed entering an era with fundamentally different conditions, we may not be prepared.

Faced with such extraordinarily rapid and widespread changes, business leaders, CEOs, and investors need to improve their understanding of not only short- and long-term price dynamics, but also of how these may interact. We must begin to grapple with the combined risk of considerably higher inflation in the near term, followed by persistent deflation in the coming years.

36. The Road to De-Escalation With Iran

Author: Simon Johnson | **Date:** Apr 7, 2026 | **Original:** <https://www.project-syndicate.org/commentary/ending-iran-war-requires-recognizing-economic-incentives-by-simon-johnson-and-amir-kermani-2026-04>

WASHINGTON, DC/BERKELEY—The closure of the Strait of Hormuz is having devastating consequences worldwide. The price of oil is up sharply, liquefied natural gas has become much more expensive in key markets, the cost of fertilizer is likely to remain high throughout the planting season, and liquefied petroleum gas is hard to find in some regions.

The world's poor and middle-class households are being hit the hardest. In countries like Sri Lanka, Bangladesh, Pakistan, India, Thailand, and the Philippines, higher fuel prices immediately squeeze budgets for low-income people, who also face the prospect of higher food prices. Around the world, governments and people are asking with increasing urgency: Is there an off-ramp for this conflict?

Political elites in both the United States and Iran are attempting to force regime change on their adversary. The US wants Iran to pick new leaders and to abandon its nuclear ambitions. Iran knows that higher gasoline and diesel prices are likely to hurt US President Donald Trump's Republican Party in November's midterm elections. Neither side is deliberately targeting the many millions of poor people around the world who are suffering as a result. For both the US and Iran, the increase in global poverty is an unintended consequence that helps leaders in neither place achieve their objectives. If Iran wants to punish the US with higher energy prices, it will also punish the world's poorest.

The US might still attempt to seize effective control over the Strait, forcing it open. But this option seems like a recipe for a long and bloody quagmire. The Kremlin is the main beneficiary of the Strait's closure, and US sanctions on Russian oil exports have now been relaxed. Russian President Vladimir Putin presumably likes it that way and has an obvious incentive to resupply Iran – the national government or small militia groups – with enough drones to threaten the Strait indefinitely. The specter of Vietnam in the 1960s, supported by nuclear-armed Russia, looms large. If the US wants to punish Iran, the Strait will remain closed, upending the lives of people everywhere.

The best way to step back from the brink of global catastrophe is to recognize Iran's economic incentives. Iran needs to export oil and gas in order to pay for essential imports, including food and medicine, as well as for the inputs needed to rebuild and improve its infrastructure. Even before the destruction wrought by this phase of the conflict, Iran's civilian economy suffered from severe underinvestment. Iran can and does sell some oil to China, but the existing US sanctions regime makes this difficult (and there are likely significant discounts involved). The currently impeded flow of oil is not enough to pay for what the Iranian people need.

But it doesn't have to be that way. Iran currently has the capacity to produce about 3.7 million barrels of oil per day, of which around two million are used for domestic consumption. Of the remaining 1.7 mb/d, about 0.7 mb/d are needed to pay for agricultural goods and medicine—most of which could come from the US and Europe—and the remaining million could be used to buy imports needed to

modernize transportation infrastructure, along with renewable-energy systems and energy-saving technologies from manufacturing powerhouses such as Germany, China, South Korea, and Japan. (For these calculations, we are assuming the price of oil returns to be around \$70 per barrel, which is the price at which new shale fields are brought online.)

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With more investment, Iran could likely increase its exports by at least another 1-1.5 mb/d. The rate of return would be high, both from the perspective of investors and for the Iranian government. Who would be willing to invest? European and US oil services companies have the best technology available, and Iran's neighbors around the Persian Gulf have considerable practical experience (and capital to invest).

But no one in their right mind will want to invest unless and until there are sufficient guarantees, internal and external, that the potential financial returns can actually be realized. For there to be investment, there needs to be peace. And for there to be peace, the nuclear issue must be addressed in a way that convinces all parties.

The deal that the world should aim to put on the table is this: If Iran places its nuclear energy program under proper international supervision (explicitly to prevent the development of weapons), preferably integrating it with a regional fuel-enrichment consortium, it is likely to become much more prosperous by reaping the benefits of higher oil and gas exports. The focus of this development strategy should be investment in civilian infrastructure, energy-saving technologies, and a significant expansion of the service sector—all proven ways to create more good jobs and build an Iranian middle class.

The alternative is continued hostility or waves of inter-state violence that include the US and its allies. This would drive Iran closer to Russia, creating the prospect of a broader conflict. And through it all, the prolonged closure of the Strait of Hormuz would imperil people everywhere who already struggle with poverty and economic precarity.

That is the path we are now on, which is why the world desperately needs de-escalation in the Middle East. The way to achieve it is to acknowledge Iran's economic incentives and negotiate accordingly.

37. Is Economic Forecasting Still Possible?

Author: Morten Nyboe Tabor | **Date:** Apr 6, 2026 | **Original:** <https://www.project-syndicate.org/commentary/economic-forecasting-under-radical-uncertainty-by-morten-nyboe-tabor-2026-04>

COPENHAGEN—The war in Iran has upended the global economic outlook overnight. Oil supply routes have been shut down and prices have surged. Every central bank, finance ministry, and economic forecaster is scrambling to answer the same question: What happens next?

But before rushing to produce new numbers, we need to know what kind of uncertainty we are facing. Are our standard forecasting tools up to the task, or do they offer false comfort?

From the mid-1980s until the pandemic, the global economy was remarkably stable. Inflation was low and predictable. Central banks had credible targets. Supply chains functioned smoothly. Geopolitical arrangements, while never static, evolved gradually. The mechanisms by which disruptions propagated through the economy remained roughly constant.

In that world, the standard approach to forecasting worked well: produce a single baseline projection and wrap it in a fan chart showing the range of uncertainty around it. The fan chart said, in effect: we know how the economy works, we just don't know the exact numbers. The future would resemble the past, give or take some noise.

The pandemic disrupted supply chains in ways no fixed model anticipated. The post-pandemic inflation surge was the most significant forecasting failure in central banking in decades. And now, the war in the Middle East is wreaking havoc with the energy sector.

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Each of these events is not just a large disturbance hitting an otherwise stable system. They herald a change in how the system works.

The economist Frank Knight grasped the implications of this distinction in 1921. Risk, he argued, is uncertainty that you can quantify: while you can't predict the outcome, you know the range of possibilities and can assign probabilities to them. True uncertainty—nowadays called Knightian uncertainty—is different: you cannot assign it a probability, because the situation itself may be changing in ways you have not seen before. The economy undergoes structural shifts that, because they are genuinely novel, rule out using the past to estimate future outcomes.

The Iran war is a case in point. We knew a Middle East conflict was possible, and previous oil crises and energy-price surges offer some guidance about the consequences. But the specific combination of

actors, escalation dynamics, and consequences for global energy markets has no precedent—and the differences from previous episodes are precisely what matters most.

A fan chart cannot capture this. It assumes that future uncertainty can be quantified by past forecast errors. It says: I know the story, but not the numbers. But when the story itself is in question, a wider fan chart is not the answer.

If we cannot reduce the uncertainty to a single probability distribution, what should we do instead? The answer is not to abandon economic forecasting and seek an oracle. It is to change the format. Roman Frydman of New York University and I recently proposed a rigorous approach that aims to guide forecasting under Knightian uncertainty.

Instead of one baseline with a fan chart, forecasters should present a small set of scenarios—not as hedging, not as decoration, but as structured reasoning about genuinely different futures. Each scenario should include a narrative explaining the economic logic, a conditional forecast showing what follows if that scenario plays out, and a specification of what incoming data would shift the assessment toward one scenario or another. Designing good scenarios is the hard part—it requires practical economic judgment, not just statistical technique.

For the Iran war, this could mean two or three scenarios. In a containment scenario, for example, the conflict remains localized, oil supply disruption is temporary, and energy prices return toward pre-war levels within months. In an escalation scenario, the war spreads, energy infrastructure is damaged, oil prices settle at permanently higher levels, and second-round effects on wages and inflation expectations change the policy calculus—or even trigger a fundamental restructuring of global energy trade.

Each of these implies different trajectories for inflation, interest rates, and growth dynamics. No single baseline with a fan chart can capture these qualitatively different futures. Scenarios can.

Some of the world's major central banks are already moving in this direction, driven by the hard lesson of the post-pandemic inflation surge, which blew through every fan chart they published. Ben Bernanke's landmark review of the Bank of England recommended eliminating fan charts and publishing scenarios instead.

In March, the European Central Bank did just that, replacing its fan charts with three alternative scenarios and explicitly stating that its standard probabilistic tools would not “provide a reliable indication of the high uncertainty.” As ECB President Christine Lagarde put it: “We find ourselves yet again in a different world, whose contours are not yet clear.”

The ECB is not alone. Sweden's Riksbank now publishes alternative scenarios without attaching probabilities. The Bank of Canada has gone further, dropping its baseline forecast altogether in early 2025, when no single projection was credible.

The tools for forecasting under Knightian uncertainty exist. Scenarios are not a second-best substitute for a single forecast with a fan chart. When the economy is undergoing structural change, they are the intellectually honest format—able to represent what we can and cannot know about the future.

In a changing world, credibility does not come from being right all the time—no one will be. It comes from being transparent about the possible futures you consider relevant, adjusting your views as new data arrives, and doing what you said you would do when a specific scenario materializes.

While some central banks have led the way, much of the forecasting profession—and the economic theory that underpins it—still defaults to single baselines that treat the future as a probabilistic replica of the past. But when the structure of the economy changes in unforeseeable ways, forecasters must acknowledge that many futures are possible. The right response to Knightian uncertainty is not wider fan charts, but scenarios that take seriously that we can know only that the world has changed, not how.

38. America's Currency Is the Global South's Problem

Author: Janak Raj | **Date:** Apr 6, 2026 | **Original:** <https://www.project-syndicate.org/commentary/how-developing-economies-can-reduce-us-dollar-exposure-by-janak-raj-2026-04>

NEW DELHI—The US dollar's share in global foreign reserves peaked in 2001, and has been declining ever since. But while this trend is likely to continue, it is progressing very slowly, meaning that the greenback will retain its relative dominance—and the Global South will continue to suffer the consequences of US policy—for years to come.

There is currently no easy alternative to the dollar. For a currency to attain reserve status, it generally must be freely convertible, with a market-determined exchange rate. Moreover, the issuing country would typically possess a large economy, extensive international trade ties, deep and liquid financial markets, and stable macroeconomic conditions and policies.

That reserve-issuing country should also be willing to run consistent fiscal and current-account deficits, in order to deliver sufficient liquidity, even as ever-expanding twin deficits risk undermining confidence in its economy (the so-called Triffin dilemma). On all these counts, the United States still performs exceptionally well.

But dependence on a dollar-based system carries significant risks for countries in the Global South. Highly exposed to shocks originating in the US, these countries often have to align their monetary policies with America's, in order to maintain currency stability and manage dollar-denominated debts.

Moreover, when the dollar appreciates, dollar-denominated imports, such as oil, become more expensive, driving up inflation and complicating macroeconomic management. If sanctions are imposed on the dollar-denominated international payment system, developing economies' ability to engage in cross-border trade and finance is impeded. Finally, the US dollar's dominance hampers the growth of deep and liquid capital markets for developing economies' currencies internationally.

Diversification away from the dollar is thus a strategic imperative for many countries. The question is how to go about it. Given that the dollar's preeminence stems largely from its use in international transactions, one obvious action would be to promote the use of local currencies in international trade, such as through bilateral trade agreements.

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Many developing and emerging economies are already doing this, especially when it comes to energy. India has begun rupee-based trade settlement with Iran, Russia, and the United Arab Emirates. China and Saudi Arabia are moving toward similar arrangements. Argentina and Brazil have begun to discuss

establishing a common currency, which could go a long way toward advancing the shift away from the dollar, though it would have to be expanded to include all major trading partners in the Global South.

Central bank digital currencies are expected to bolster such efforts. The Reserve Bank of India has reportedly proposed putting CBDC interoperability on the agenda for this year's BRICS summit. If successfully implemented, the interconnection of digital currencies, along with increased local-currency trade, could significantly reduce foreign-debt burdens, lower cross-border trade costs, and make imports more affordable.

Meanwhile, major emerging economies like Brazil, China, and India should work to expand their currencies' share of international reserves. They have a long way to go: the Chinese renminbi currently constitutes less than 2% of global foreign-exchange reserves, and the Brazilian real and Indian rupee account for even less.

But a few key steps—in particular, opening capital accounts further and developing deeper and more liquid financial markets—could go a long way toward accelerating progress. The inclusion of these currencies in global bond indices would also boost their international appeal and utility as reserve assets.

A third step that developing countries should take to reduce their exposure to the US dollar is to increase their holdings of gold. Whereas reserve currencies are exposed to macroeconomic policy risks, inflationary pressures, and geopolitical instability, gold provides a reliable hedge against external inflation and currency devaluation, and carries no credit risk, making it a crucial “safe haven” during geopolitical crises. Though reserve currencies are more liquid and may earn interest, expanding gold holdings makes sense strategically.

This process is already underway: since 2008, central banks, including in the Global South, have been consistent net buyers of gold. China has increased its gold holdings from 600 tons in 2008 to 2,306 tons last year, India from 358 to 880 tons, and Brazil from 34 to 172 tons. Nonetheless, as of last year, gold still constituted a small share of these countries' reserves—7.2% in Brazil, 8.5% in China, and 16% in India.

Bilateral currency-swap agreements are another good option. Such arrangements act like a financial safety net, protecting against unexpected sudden stops and surges in capital outflows, and reducing a country's need to accumulate massive foreign-exchange reserves. But very few developing economies currently have them.

Finally, countries in the Global South should work to develop regional payment systems, which would enable them to bypass dollar channels and the SWIFT system for cross-border transactions. This is another area where efforts are already underway, with China's CIPS (Cross-border Interbank Payment System) as one example.

While the US dollar will not retain its preeminent status forever, countries in the Global South cannot afford to wait out its dominance. With a strategic approach, they can reduce their dependence on the dollar, thereby mitigating the associated risks and fostering a more balanced and resilient global financial landscape.

39. The Mispricing of War

Author: Antara Haldar | **Date:** Apr 6, 2026 | **Original:** <https://www.project-syndicate.org/commentary/economics-of-war-externalized-costs-make-it-more-frequent-and-likely-by-antara-haldar-2026-04>

CAMBRIDGE—In the space of just a few weeks, the throttling of shipping traffic through the Strait of Hormuz has revealed the true nature of the US-Israeli war with Iran. This is no regional conflict, because the entire world is being invoiced. While the size of the bill remains to be determined, it is already obvious that the belligerents won't be the only ones paying the tab.

War is typically framed in terms of national security, territorial integrity, humanitarianism, or even civilizational struggle. But such rationales obscure an unsettling truth: war is one of the most mispriced of human activities. Those who initiate it rarely bear the full costs, which tend to be displaced across borders, markets, and time. Beyond the physical destruction, war generates massive negative externalities. The price paid by the perpetrator reflects only a small fraction of the social cost.

Of course, the intuition that war imposes downstream costs on others is deeply embedded in the political-economy literature, running from Adam Smith and David Ricardo to John Maynard Keynes and Karl Polanyi. But globalization has transformed the effect into a structural feature of the modern economy.

Consider the arithmetic of the current Iran conflict. Beyond the loss of life, direct US military spending may run into the tens or even hundreds of billions of dollars (the price tag was already \$12.7 billion one week into the fighting). Yet the broader economic cost—transmitted through energy, food, and financial markets—runs far higher. The International Monetary Fund warns that the war is already diminishing many economies' growth prospects, as energy shocks ripple outward and inflationary pressures intensify.

The transmission mechanism is brutally simple. When oil and gas prices rise, transportation and electricity become more expensive. When fertilizer costs increase, so do food prices. Central banks may respond by assuming a tighter monetary-policy stance. Ultimately, growth slows.

Yet this domino effect is missing from the actual war ledger. Efforts to measure the true costs of war have consistently found that they lie beyond the battlefield. In their work on the Iraq war, Joseph E. Stiglitz and Linda Bilmes tallied a catalogue of costs in the trillions of dollars once macroeconomic effects were included. Similarly, both the IMF and the World Bank have found that violent conflict depresses growth in economies far removed from it.

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Even under conservative assumptions, the United States may bear only a modest share of the total global economic damage (much as the negative spillovers of the war in Ukraine far exceed the direct cost to Russia). As European Central Bank President Christine Lagarde recently cautioned, the rest is diffused across the system, absorbed by energy importers, emerging markets, and households worldwide. War, in this sense, is globally subsidized.

Three mechanisms make this possible. The first is spatial. Modern economies are deeply interconnected. When war disrupts one node (particularly an energy chokepoint), the effects cascade outward. The Strait of Hormuz is not simply a geographic passage but a structural vulnerability in the global economy.

The second mechanism is temporal. War typically requires the present to borrow from the future. Governments finance conflict through debt, deferring its cost to generations not yet politically represented. The fiscal consequences of past wars continue to unfold decades later, showing up in public debt, constrained policy options, and obligations that outlast the politics that created them.

The third mechanism is distributive. War concentrates decision-making while dispersing the costs. Those who decide are not the ones who pay. This last insight lies at the heart of modern conflict economics. The Oxford University economist Paul Collier has shown that wars persist not because they are collectively rational, but because they are privately beneficial. Small groups capture the gains as the broader population absorbs the losses. Today's networked economy amplifies this asymmetry.

As Edward Fishman of the Center on Global Energy Policy argues in his book *Chokepoints*, power today flows through global systems such as energy routes, financial networks, and supply chains. But conflict turns these into channels for economic contagion. The result is a peculiar inversion. War appears expensive in theory but affordable in practice, because much of the bill is paid by others.

This mispricing has predictable consequences. When goods are subsidized, we get more of them. When their price is too low, we get oversupply: too much pollution, too much risk, and too much war.

The policy challenge is therefore familiar, even if the politics are not: to discourage war, its costs must be internalized. Those who initiate conflict must bear a greater share (or, even better, the entirety) of its true costs. Ensuring that outcome requires an effective global institution that can align the private and social costs of conflict more effectively than global markets can. Until the world can come up with such an institution, the incentives will remain perverse, because one of the most destructive activities imaginable seems so affordable to those who undertake it.

40. Is Financial Deregulation Under Trump Going Too Far?

Author: Kenneth Rogoff | **Date:** Apr 3, 2026 | **Original:** <https://www.project-syndicate.org/commentary/trump-financial-deregulation-going-too-far-by-kenneth-rogoff-2026-04>

NEW YORK—If you had asked me six months ago about the risks of another massive financial crisis in the United States, I would have said it is always possible, but much more likely elsewhere. Japan, for example, is dealing with steadily rising interest rates in an economy that has been conditioned for decades to rates being virtually zero.

But I seem to have underestimated the deregulatory zeal of President Donald Trump’s administration. While it is rightly rethinking the heavy-handed measures implemented after the 2008 financial crisis, it is ruthlessly pruning staff at key regulatory agencies. In many cases, these cuts have included some of the most seasoned experts, whose essential institutional memory leaves with them.

Unfortunately, such an aggressive approach is a tried-and-true recipe for creating big problems down the road, possibly before Trump leaves office. The savings and loan crisis of the late 1980s followed President Ronald Reagan’s own deregulatory push. The 2008–09 global financial crisis followed years of deregulation, first under President Bill Clinton and then under George W. Bush. The Silicon Valley Bank crisis of 2023 radiated out into mid-tier US banks, partly because the first Trump administration had weakened capital requirements. This is not to say that another crisis is guaranteed—far from it. Still, there are many reasons to worry.

Trump’s latest deregulation agenda again takes aim at capital requirements, which partly dictate the extent to which banks raise resources by borrowing (from both bond markets and depositors), or by issuing equity. Capital requirements are a way to ensure that banks have a buffer to cover losses, as well as to ensure that their holdings are sufficiently “liquid,” lest they be forced to offload valuable assets at fire-sale prices in the event of an unexpected surge of withdrawals.

Without going into the technical details, suffice it to say that Moody’s has argued that if the latest regulatory changes lead to lower and less liquid capital resources, that will be a negative development for bank risk. As the economists Anat R. Admati and Martin Hellwig showed in their 2013 book, *The Bankers’ New Clothes*, the less “skin in the game” banks have, the greater the incentive to let taxpayers shoulder the risk.

To be fair, there are certainly arguments for scaling back or at least refining the post-2008 regulations. Michelle Bowman, a Trump appointee who serves as the US Federal Reserve’s vice-chair for financial supervision, argues that “The result is more efficient regulation and banks that are better positioned to support economic growth, while preserving safety and soundness.”

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The most concerning changes, however, are the ones that are less transparent, including the rules for stress tests (simulations used to assess whether banks would have enough capital in a crisis) and the instructions to regulators about what to examine and when to report problems.

Bowman's own predecessor as vice chair of supervision, Michael S. Barr, seems to agree. He remains a member of the Federal Reserve Board, where he has cast dissenting votes against regulatory changes the Trump administration is pushing on multiple occasions. In an institution that prizes consensus to assure investors of policy continuity, so many dissents are rare and therefore noteworthy.

To be sure, advocates of lighter bank regulation point to the fierce competition implied by the deregulation of crypto, especially dollar-based stablecoins (cryptocurrencies pegged by a private issuer to the dollar). Banks do need to be able to innovate and compete. But one obviously wants to avoid a situation in which deregulation of both crypto and the legacy financial system creates the conditions for an inevitable crash.

When might such a crash occur? As Carmen M. Reinhart and I documented in our 2009 book, *This Time is Different*, and as a great many papers since then have shown, the timing of crises is extremely hard to predict, partly because both the government and banks have every incentive to keep problems hushed up. Nonetheless, it is hard to argue with Senator Elizabeth Warren's February 2025 warning that the risks have risen materially.

Historically, one line of defense has been the relative independence of the various regulators, including the Federal Deposit Insurance Corporation, the Office of the Comptroller of the Currency, and the Fed itself. True, there is a legitimate debate to be had about the extent to which such regulators should be independent—a question that is more nuanced than in the case of monetary policy. But given the Trump administration's expansive interpretation of presidential power, regulatory independence has unquestionably been undermined. The White House is playing an increasingly large role in reviewing regulatory processes, including holding more regular meetings between top financial regulators and the Treasury secretary.

Will there be a full-blown systemic banking crisis tomorrow? Probably not, because even if today's regulatory safeguards are drastically weakened, it is going to take a few years for the financial system to build up to new heights of vulnerability. Unfortunately, by then, it may be too late to change course.

41. Telling the Truth About China's Success

Author: Yanis Varoufakis | **Date:** Apr 2, 2026 | **Original:** <https://www.project-syndicate.org/commentary/china-did-not-cheat-its-way-to-prosperity-by-yanis-varoufakis-2026-04>

ATHENS – As missiles, bombs, and drones fly across the Persian Gulf, the prospects of an even more devastating war in the Pacific are strengthening. De-escalation of the new cold war between the United States and China must now become the world's top priority. To that end, it is essential to explode a powerful myth that makes war more likely: the idea that China has cheated its way to prosperity.

The Chinese economy does contribute to serious global macroeconomic imbalances, and this must be addressed. But that is a different matter than the convenient fiction, woven by Western elites to hide their own failures, that China owes its success to duplicity, dishonesty, and deceit. And it is not just a convenient fiction. To the extent that it primes Western public opinion for war, it is also a dangerous one.

The myth comprises five bogus accusations. The first is that China has “stolen” Western companies' intellectual property. In fact, Western multinationals were falling over each other for decades to hand over their IP in exchange for access to China's gargantuan market. The Chinese authorities, who have a 50-year planning horizon, simply made them an offer they could not resist: You can enter our markets, but you will have to teach our people how to manufacture your wares. Western CEOs, obsessed with the next few quarters and ensorcelled by magnificent medium-term prospects, eagerly accepted.

The second charge is that China is undervaluing its currency. This assumes that there exists a “correct” exchange rate and that the Chinese authorities are pushing the renminbi below that rate. In theory, the correct exchange rate is the one that equilibrates each country's current account. In practice, that would mean that the dollar is massively overvalued, as evidenced by the enormous US current-account deficit.

In short, accusing the Chinese of keeping the renminbi too low is the flipside of the accusation that the US pays for its deficits by attracting other people's capital. Westerners relying on an overvalued dollar are, in this sense, living in glass houses. Throwing stones is unwise.

The third charge is leveled at China's capital controls, which are presented as another form of cheating. Have we forgotten that the golden age of capitalism, the Bretton Woods era of the 1950s and 1960s, was predicated upon capital controls in the US, Europe, and Japan? The rationale was straightforward: no government is legally or morally obliged to permit financiers to flood its country with impatient “hot” money at will or, equivalently, to allow an unchecked exodus of money on a whim.

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The myth's fourth pillar—the alleged massive overcapacity of Chinese industry—is refuted by the data: China's capacity utilization hovers below 75%, which is less than America's. Inventories are stable. Chinese exporters' profits are up over 10%. So, there is no overcapacity.

The accusation serves as a defense against what really stings Western authorities: the hyper-competitiveness China has achieved through excellent planning and investment in top-notch, inexpensive education and training. Seeing how a company in Shenzhen can iterate four prototypes for a fraction of the cost and time it takes in Stuttgart or Illinois to run a single prototype, one cannot plausibly conclude that China's competitiveness is due to dumping. But that claim is more politically palatable to Western leaders than explaining to voters that China has developed a unique distributed neural network of manufacturing intelligence.

The fifth charge, and perhaps the most common, is that Chinese under-consume and are under-paid. Perhaps. But relative to whom? Consumer spending in China has grown much faster than in Western-allied Asian manufacturing powers, from Japan and South Korea to Indonesia and Malaysia. Moreover, when these miracle economies reached a comparable level of development, they experienced a sharp slowdown in consumer spending growth that is absent in China.

Likewise, Chinese wages have increased dramatically. Two decades ago, China's hourly manufacturing labor cost was lower than India's. Since then, it has increased eightfold, while India's only doubled. Indeed, wages in China are now higher than in any other developing country in Asia.

These truths sit uncomfortably in the corridors of Western power. China's technological prowess is a threat to Western corporations that used to feel invincible. Other developing countries now look to China for more reliable, high-quality, cheaper wares. While responding with accusations of cheating may be understandable, we in the West must take this opportunity to reflect, because telling the truth serves the cause of peace.

And the truth is that Western corporations didn't lose to China; they sold out to China. They offshored jobs, gutted trade unions, and handed over their IP for a quick buck. While the US, the United Kingdom, and the European Union were bailing out criminal bankers and pursuing unlawful wars, China was investing in education, railway networks, functioning health systems, green energy, smart grids, and production hubs capable of research, development, and innovation that most Western countries cannot match.

It is time the West stopped blaming China for the decisions of its own Big Business, Wall Street, and their pliant politicians. Sanctions against China are a ludicrous substitute for industrial policy. Even worse, lazy Sinophobic narratives, peddled by the same people who have created an instant quagmire in the Gulf, may be paving the way for an even madder military confrontation in the Pacific.